Sharda Cropchem (SHARDACROP)

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“Sharda Cropchem Limited
Q4 FY25 Earnings Conference Call”
May 15, 2025
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 15th May 2025 will prevail

MANAGEMENT : M R. R. V. BUBNA – CHAIRMAN AND MANAGING DIRECTOR – SHARDA CROPCHEM LIMITED
M R. SHAILESH MEHENDALE – CHIEF FINANCIAL OFFICER – SHARDA CROPCHEM LIMITED
M R. JETKIN GUDHKA – COMPANY SECRETARY – SHARDA CROPCHEM LIMITED
S GA – INVESTOR RELATIONS – SHARDA CROPCHEM LIMITED

MODERATOR : M R. RIJU DALUI – ANTIQUE STOCK BROKING
Moderator: Ladies and gentlemen, good day, and welcome to the Sharda Cropc hem Limited 4Q and FY '25 post-results conference call, hosted by Antique Stock Broking L imited. As a reminder, all participant lines will be in the listen only mode and there wil l be an opportunity for you to ask questions after the presentation concludes. Should you need ass istance during this conference call, please signal an operator by pressing star then zero on y our touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Riju Dalui from Antique S tock Broking Limited. Thank you, and over to you, sir.

Riju Dalui: Thanks. On behalf of Antique Stock Broking, welcome to all the participants on the 4Q FY '25 Earning Call of Sharda Cropchem. Today, we have Mr. R. V. Bubna , Chairman and Managing Director; and Mr. Shailesh ji, CFO on the call. Without any del ay, I would like to hand over the call to Mr. Bubna ji for his opening remarks. Post which, we'll open the floor for Q&A. Thank you, and over to you sir.
R. V. Bubna: Good afternoon, and very warm welcome to everyone present on th is call. Along with me, I have Mr Shailesh Mehendale, CFO; Mr. Jetkin Gudhka, Company Secretar y and SGA, our Investment Relations advisors.
Hope you all have received our investor deck by now. As you ar e aware, we are engaged in marketing and distribution of wi de range of agrochemical produc ts, that is herbicides, insecticides, fungicides and biocides, catering to diverse glob al customer base. We prepare comprehensive dossiers, seek registrations in our own name. We allocate substantial resources and establish our foothold in the market. Our total product reg istration stood at 2,964 as on 31st March 2025. Additionally, 1,014 applications of the product reg istrations globally are in process.
For Q4 FY '25, despite ongoing global challenges and sustained pricing pressures, the total revenues have grown by 39% to INR1,829 crores, with substantial overall volume growth of over 50% year-on-year. Europe, Latin America and NAFTA have bee n the key contributors in the agrochemical segment. Volumes from agrochemical segment gre w by 48% year-on-year, whereas on nonagrochemical segment, we grew by 116% year-on-yea r.
Our gross margin stood at 29.8%. With raw material price stabi lizing, it is expected to further improve in the financial year 2026. EBITDA for the quarter stoo d at INR352 crores, a growth of 16% on Y-to-Y basis. PAT for the quarter stands at INR204 cr ores, showing a growth of 42% on a Y-on-Y basis. For FY '25, the total revenue has grown by 3 7%, that is INR4,320 crores, with volume growth of 42% year-on-year mainly through agrochemi cal segment. The volumes from agrochemicals grew by approximately 44% year-on-year, wher eas nonagrochemicals segment grew by 9% year-on-year.
We aim to grow top line by more than 15% in FY '26. Gross marg ins stand at 29.9%, increase by 400 bps on Y-to-Y basis, and we expect gross margins to impr ove in the financial year with prices expected to increase. EBITDA for FY '25 stood at INR682 crores, a substantial growth of 114% on Y-to-Y basis. EBITDA margin stood at 15.8%, maintaining our FY '25 guidelines and aim to maintain the margins in the range of 15% to 18% for FY ' 26. PAT stood at INR304 crores,

showing remarkable growth of 854% as compared to last year. The ROCE and ROE have improved drastically, which stood at 16% and 12.8% as of March '25.
The working capital days stands at 118 days as on 31st March 2 025, showing an improvement of 40 days as compared to March '24. Cash and cash equivalents stood at INR558 crores as on 31st March 2025. The capex for FY stood at INR420 crores, and w e are confident of our ongoing product registrations with capex to be in the range of INR400 c rores to INR450 crores in FY '26.

With this brief overview, I would now like to hand over the ca ll to our CFO, Mr. Shailesh Mehendale, for discussing our financial performance. Thank you.
Shailesh Mehendale: Thank you, sir. Good afternoon, everyone. Coming to quarter 4 F Y '25 performance, revenue stood at INR1,829 crores in Q4 FY '25 versus INR1,312 crores in Q4 FY '24 with an increase of 39% year-on-year. Coming to th e split, agrochemical business increased by 39% year-on-year to INR1,691 crores, whereas non-agrochemical business increased by 42% year-on-year to INR138 crores.
Gross margin stood at 29.8% in quarter 4 FY '25 as against 34

.6 % in quarter 4 FY '24 with an increase of 480 basis points. EBITDA for the quarter increased by 16% to INR352 crores with an EBITDA margin of 19.2% versus INR303 crores in quarter 4 FY '24. That stood at INR204 crores in quarter 4 FY '25 as against INR143 crores in quarter 4 FY '24, showing a growth of 42%.
Coming to full year financial performance for FY '25, revenue stood at INR4,320 crores in FY '25 versus INR3,163 crores in FY '24, with an increase of 37% y ear-on-year. Coming to the split, agrochemical business increased by 43% year-on-year to INR3,773 crores, whereas the non-agrochemical business increased by 4% year-on-year to INR547 cr ores.
Gross margin stood at 29.9% in FY '25 as against 25.9% in FY ' 24. EBITDA grew by 114%, which stood at INR682 crores with EBITDA margin at 15.8%. PAT s tood at INR304 crores versus INR32 crores last year, showing 854% growth year-on-year basis. Working capital days stood at 118 days, improved by 40 days. ROCE and ROE stood at 1 6% and 12.8%, respectively, as at 31st March, 2025.
We remain net debt free company and have cash bank and liquid investment of INR558 crores as at 31st March, 2025. The Board of Directors have recommended a final dividend of INR6 per share, which is 60% of face value. We can now open the floor fo r questions and answers. Thank you.
Moderator: Thank you very much. We take the first question from the line o f Viraj from SiMPL. Please go ahead.
Viraj: A couple of questions on non-agro business. We saw value growth of 42% in quarter 4, but the volume growth is 116%. So what explains the sharp drop in reali zation and was there pre-buy run-up to the tariff in quarter 4?
R. V. Bubna: Mr. Viraj your voice was not very clear. Can you please repeat the question because you have something wrong with t he quality of voice.
Viraj: First question is on the non-agro business. In the quarter 4, t he volume growth was 116% value growth was 42%. So what gave the sharp drop in realization and was there any pre-buying given there was a tariff hike in quarter 4 -- in April?

R. V. Bubna: See, I can answer you very clearly that there was no pre-buying in the previous time. This is in the normal course. And these variations are not very abnormal. They keep on happening year-to-year. But it is absolutely normal. There's nothing very spec ific to comment on.
Viraj: And sir, on realization in non-agro.
R. V. Bubna: No, realization has been very normal.
Viraj: Sir, because volume growth is 116%, while value growth is 42%.
R. V. Bubna: Volume growth is 116% and value growth is 46%.
Viraj: Yes, so there is a sharp drop in realization.
R. V. Bubna: One minute, let me. Sir, I can only comment that there have bee n some overall increase in the cost per unit and that is why th e margins have been a little bi t lesser. There's no specific reason, which -- this is obvious, which I can highlight to you.
Viraj: Okay. Sir, just two more questi ons. On the non-agro business in NAFTA, how is U.S. part of

the NAFTA? And second question is, if we understand the overall industry price for non-agrochemical product in U.S., what -- who are the major players ? Or is it local production we are competing? Is it Chinese or -- so just trying to understand this.
R. V. Bubna: I think we may be competing against the local production. There was no close competing in American non-agrochemical business.
Viraj: Yes, I'm asking how much sales we made to U.S. market in NAFTA? How much sales we made to U.S. market in non-agrochemical in FY '25?
R. V. Bubna: What is the word, sales. You mean sales? I see. I mean I was he aring as F-A-C-E so I was not able to understand. The sales in NAFTA region for non-agro, the re's an increase of 27.5% from...
Viraj: How much sales we made to U.S. market in FY '25 in non-agro bus iness?
R. V. Bubna: FY '25?
Viraj: Yes non-agro business, U.S. market

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R. V. Bubna: The figures that I have is 492 from 198. This is volume, you me an volume.
Viraj: Yes, sir only U.S. market.
R. V. Bubna: Sir, sales in the US of non-agro chemical touching almost INR315 crores.

Viraj: So post this tariff which has been announced, how does that aff ect us? And who will bear the tariff impact?
R. V. Bubna: We are able to pass on the tariff increase to the customers and customers are gracefully accepting it.
Moderator: The next question is from the line of Shubham Sehgal from Skill Ventures.
Shubham Sehgal: My first question is, so in our crop chem segment, so if you se e the major MNC companies, we are talking that the p rices are going to be stable or increasin g. So my question is, what factors have led to low realization for us and the margin impact that y ou're seeing?
R. V. Bubna: The role -- I mean work you state d about the MNCs is for the fu ture. But I think as far as the current year is concerned, the MNCs also have faced the same si tuation like Sharda. And we are all positive that in the future, the realization is going to be better per unit.
Shubham Sehgal: Okay. And so apart from that, are we going to see any pricing p ressure in other regions other than U.S. due to the Chinese dumping?
R. V. Bubna: No, that Chinese dumping story is over about a year back. This was there about 12 to 15 months earlier. Now the dumping process is lower, but China is produci ng enough quantities to make the world requirement.
Shubham Sehgal: So I don't mean like what happened last year, it was different. I'm saying for right now as the U.S. has impose very high duties on China. So there are chances that with their high production as we mentioned, we might start dumping it in other regions oth er than U.S. because in U.S . they are facing high duty. So would you face any problems in ot her regions, that is my question.
R. V. Bubna: No, we don't see any such trend as you are getting.
Shubham Sehgal: Okay. And as you mentioned, as we are going to see the price im proving in FY '26. So till what extent can we see that price improve and will it happen in mayb e second half of the year? Or do you think we can start seeing that from Q1 itself?
R. V. Bubna: No. It will be a gradual process. We can see something from Q1 itself.
Shubham Sehgal: Okay. So what kind of mix sales g uidance are we expecting then? Pricing and volume, both.
R. V. Bubna: Pardon me.
Shubham Sehgal: Pricing and volume, bo th, like what are we expecting for FY '26 ?
R. V. Bubna: About 10% to 15% growth.

Moderator: We take the next question from th e line of Himanshu Binani from Anand Rathi.
Himanshu Binani: Congratulations on a good set of numbers. So sir, I have a few questions. So firstly, on the U.S.-China thing basically. So just wanted to have your sense in ter ms of the ongoing tariff war. And how do you intend to mitigate this, both in the agrochemical an d the non-agrochemical segment?
R. V. Bubna: See the origin of tariff war is known to the everybody in the w orld, the new President of the United States. He has some ideas and which he feels that will h elp his country and other countries are taking advantage of their leniency, which in my opinion is a bit not true. So they have imposed some tariffs and China -- U.S. also does not have much alternatives to China in sourcing

these products.
And suppliers are able to pass on the increase in tariff import ers in U.S. So ultimately, it's the U.S. consumer who is bearing the burden of the increased tariff s. And I think the President will see these things in the near future. And he may think of still -- he has already reduced lot of fees, he may still correct himself.
Himanshu Binani: And sir, we have been doing both the active ingredients as well as the formulations. So the entire formulations, which w

e have been like exporting. So is it like largely manufactured from China?
Or we are like doing the formulation in the mostly in the desti nation countries?
R. V. Bubna: We are doing both. We are doing the formulation in the destinat ion countries as well as getting the formulations done in China a nd transporting them in the for mulated shape. The only difference is that duty for the formulated products are much hi gher than the technical production. On the other hand, cost of formulation in the U.S. is also ext remely high compared to the cost in Canada. So and we are able to get the Chinese products formu lated and transport it much faster than what happens in U.S. The capacity available in the U.S. for formulations is also limited and it's very expensive. So we -- and if we have to mee t the requirement of the customers of time, we prefer to get the formulated product in China, and the quality of formulation in China is also very good.
Himanshu Binani: On cost-wise, the Chinese it's cheaper as compared to getting t he product formulated in the United States?
R. V. Bubna: You have to repeat your question , because in-between few words were breaked up.
Himanshu Binani: So after this -- so getting our products formulated in the Chin a is cheaper, which includes the increased tariffs also than that of what is the cost is in the United States, right?
R. V. Bubna: No. The cost of formulated product from China will be higher be cause the rate difference in the duty is very big. At the same time, the Chinese so U.S. formula ting capacities are limited and they are also very expensive. So the customer does not care muc h for their prices. He prefers to get the goods in time, and that is possible only if you ship it from China.

Himanshu Binani: Okay. So maybe I'll just take this offline. So sir I have the n ext question maybe on your comments on the gradual price increase?
Moderator: Sir, sorry to interrupt you. May we request that you return to the question for follow-up questions. There are several other participants.
Himanshu Binani: Mam, that was the first question, which I have asked.
Moderator: Okay, continue.
Himanshu Binani: So sir, we have commented on the gradual price increase going f orward in FY '26. So just wanted to have your sense in terms of any region or any product specif ic pricing we are likely to witness in FY '26 and the gross margin guidance?
R. V. Bubna: See, the main factor has been, there have been very excessive p roduction in China in the year 2024 and end of second half of '23. Because of this excess prod uction and excess availability, the prices took a very serious beating in that period. Many of the products today are being traded at a price of 25% of what it was being traded in the previous y ears. So this low price is also very abnormal and it will come to normalcy, that would mean increase in the prices.
Himanshu Binani: Okay. And the gross margin guidance basically for FY '26?
R. V. Bubna: The gross margin guidance would also improve because of the bet ter service and better quality.
Himanshu Binani: Okay. Any number feedback?
R. V. Bubna: I mentioned that there should be a 10% to 15% increase in the p rices. Should be more.
Moderator: We take the next question from th e line of Surabhi from NV Alph a.
Surabhi: Sir, my first question is, you know, if we look at your agroche m EBIT margins that you provide separately and you go through all the quarter 4 EBIT margins, p reviously, 2, 3 years ago, you used to do around 15% to 16% margins. This Q4, you-all have don e 12% EBIT margin. Sir, is there scope for your EBIT margin to increase to the previous le vels? And what is the pressure apart -- despite being a 40% volume growth, what is the pressur e on the margins?
R. V. Bubna: Madam, our EBIT margins have improved in the current year as co mpared to the previous year. And I think this pro c

ess will continue.
Surabhi: No. Sir my question is, EBIT margin in the agrochem segment alo ne that we provide in the results separately. If I do -- if I check Q4 versus the other Q 4, say, 2, 3 years back or even last year. Last year, our EBIT margin was 16%. This year, agrochem s egment, EBIT margins are 12%. So I understand the overall improvement, but the agrochem EBIT margins have not normalized to the previous year level also. So when do we expec t to see that revival?

R. V. Bubna: I think during the next year, you will see that revival.
Surabhi: And sir, in the non-agrochem segment also, if you see the margi ns, the EBIT margins are constantly increasing. So is thi s the new set of EBIT margins t hat we work with going forward or 20%, 21% what you-all used to do the last 3 years, is that o n the normal margins that should be consider?
R. V. Bubna: I think that 20%, 23% margin is normal margin.
Moderator: Next question is from the line of Sonal Minhas from Prescient C apital.
Sonal Minhas: This is Sonal Minhas. I hope I'm audible.
Sonal Minhas: So sir, I wanted to understand the reason for a reduction in y our working capital cycle by 40 days, what has happened on the ground, it led to an improvement in the working capital cycle?
R. V. Bubna: So our efforts to recover our receivables. We have had to put e xtra efforts to recover our receivables and our customers are fortunately responding to tha t.
Sonal Minhas: As there are no write-offs on the tables on the ground as the m arket is improving, any of that sort is known?
R. V. Bubna: No, sir. There are no write-off. Maybe 1 in 100 cases. I have n o records for that.
Sonal Minhas: Okay, sir. So my second question is with regard to the agrochem ical business. I wanted to understand the reason for such good volume growth and value gro wth in Europe. If you could just tell me what is happening on the ground in the market, whi ch is leading to mixed growth. I'm trying to understand this in terms of the capability of thi s demand based on the guidance that we've given for the future.
R. V. Bubna: See, most of the customers in Europe, if they need a product, t hey want it tomorrow. So we are in touch with the customers 2, 3 months in advance, understandi ng what could be the estimated requirement of particular produc ts and plan it, and we make it available to them when that is needed. This has worked out very well and good for us.
Sonal Minhas: All right, sir. So there is a strong demand in Europe basically based on this, is what I've seen.
R. V. Bubna: Yes, please.
Moderator: Next question is from the line o f S. Ramesh from Nirmal Bang Eq uities.
S. Ramesh: Congratulations on your performance. Sir, if you look at your p ortfolio, the herbicides are leading the growth and then fungicides. So in terms of your fut ure growth in FY '26, do you still see the same trend because herbicides have already possibly see n significant growth. So will that

momentum continue? Or would you see some shift in terms of the growth towards maybe more of insecticides, how do you see that?
R. V. Bubna: See, I think herbicides will continue to grow.
S. Ramesh: So in terms of margins, is the re any additional delta is there in herbicides compared to the other segment.
R. V. Bubna: See, when we get a new product which positions as second or thi rd registration holder, the margins are better. So it depends upon the product mix, you kno w. And we are making efforts to get newer and newer products, and that is helping us the mar gins.
S. Ramesh: So can you share what is the percentage of revenue you're getti ng from new products launched in the last 3 or 5 years, do you have the number?
R. V. Bubna: No, we don't have that analysis and it's difficult to analyze i t this way. This is a general trend that I explained to you. It's ve

ry difficult to put the figures to that.
S. Ramesh: So in terms of the demand for agrochemicals, crop protection ch emicals. So one of the things that is perhaps still a challeng e is the crop prices. So when y ou talk about the growth...
R. V. Bubna: Sir, few words I missed.
S. Ramesh: I'm referring to the weak agricultural crop prices. So when you talk about your 15% growth expectation, you have some line of sight for the growth, even w ith the current weak trend in the crop prices or do you expect any improvement in profit.
R. V. Bubna: There is no weak trend in the prices. If I understood you corre ctly, you said weak trend in the prices.
S. Ramesh: I'm referring to the agricultural crop prices, like corn, soyab ean.
R. V. Bubna: I think the agriculture crop prices are also not weaker. They a re improving.
S. Ramesh: Okay. So in terms of farmer demand and the channel inventory in your market, do you still have any residual high-cost inventory or that's all written off in y our company and the industry.

R. V. Bubna: No, we don't have any residual high-cost inventories.
S. Ramesh: And would you say the same thing for the industry outside India , how do you see that?
R. V. Bubna: It's really difficult to comment for me for the -- because thes e are all openly available, and we don't have much time to go into the details.
Moderator: We take the next question from th e line of Manish Jain from Wea lthcare Advisors.

Manish Jain: Sir, my question regarding this U.S.-China tariff war. The tari ff reduced by the U.S. on May 12 from 145% to 30%. But before that, it was 145%. I don't know ho w if you calculate on anything there. But -- and these rates, what was your backup plan for th e U.S. market?
R. V. Bubna: Sir, first of all, this trend that you said was only for a very small period of time. And we are always prepared for whatever the prices the government decides. And we are very confident that at the end of the day, that gets passed on to our customers, bu t customers know that the situation is very transparent. It is the government of U.S. who's putting these tariffs. And nobody -- they cannot expect anybody else to absorb that tariff. So ultimately they have to face the tariff and they gracefully accepting.
Manish Jain: Have you thought of sourcing from India?
R. V. Bubna: The choice and the capacities in India are very limited. And at the end of the day, the prices from India are higher than the prices from China. In the internation al market, Indian prices are higher than China.
Manish Jain: What would be the difference, because if the tariff would have been. Suppose if ex-cost is of 56%, then they increase it to 145%, so where is that medium lev el?
R. V. Bubna: I'm not ready to comment this one. But as I told you many times , all these transactions are not decided by the prices. They are also decided by the needs. Indi an capacities are not enough to cater to the requirements of the U.S. So ultimately, the Chines e had to play a role and the U.S. has to go to China.
Manish Jain: We are confident around that 15% revenue growth despite of all these things?
R. V. Bubna: More or less, yes. We cannot say 100%. This is our assumption.
Manish Jain: And margin also 15%, 18%, we guided, EBITDA margin?
R. V. Bubna: Yes.
Moderator: We'll take the next question from the line of Dhruv Muchhal fro m HDFC AMC.
Dhruv Muchhal: For the quarter, can you give th e volume price and FX, sir?
R. V. Bubna: Beg your pardon?
Dhruv Muchhal: Sir, volume price and FX that you generally have for the quarte r.
R. V. Bubna: 1 minute.
Dhruv Muchhal: Volume price and price mix and then also FX value.

R. V. Bubna: In Q4, the volume has grown by 50%, 49.8% to be precise. FX eff ect has been plus 13%. Price and product mix is minus 24%. And total growth is approximately 39.5%

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Dhruv Muchhal: Got it, sir. Sir, this price and mix is still negative. I'm jus t wondering, AI prices have stabilized now for more than a year, so they have not declined further. So why the price is still negative, sir. Is it primarily because of mix that you see this?
R. V. Bubna: It is price and product mix.
Dhruv Muchhal: Okay. So between price and product mix...
R. V. Bubna: Product should have a better margin. Other products because of maybe the nature of excess availability or become more commoditized or sometimes competiti on.
Dhruv Muchhal: Okay. Okay. So -- and you expect this pricing drag, so price an d mix drag is now almost bottom and next year it should increase by about 10%, 15%.
R. V. Bubna: Yes, sir.
Dhruv Muchhal: And the same, can you give it for the full year, price, volume and FX, FY '25 full year.
R. V. Bubna: Yes. FY '25, the volume growth is 42%. FX impact is plus 7%, Pr ice and product mix is minus 12% and total growth is 36.6%.
Dhruv Muchhal: Got it. Perfect, sir. And sir, just one question on the U.S. ta riff -- U.S.-China tariff. Sir, you don't see any meaningful impact for your business? Because U.S. is 30 % of your business and the tariffs have increased significantly, 20% plus to 30% now. Prob ably, they will come down, but let's assume the current tariffs continue, you don't see any ma terial impact on your business

figures?
R. V. Bubna: No. Because we are in touch with our customers and customers kn ow it, and they don't jumble about China additional tariffs.
Dhruv Muchhal: Okay. Got it. And they're also not looking -- and there is no o ther option other than China to source. So that is the only option. So they can -- I'm just won dering, if somebody go to India and source and that is cheaper, but that's not possible. You do n't see that going to happen?
R. V. Bubna: That's not possible. Let's not confuse.
Moderator: Next question is from the line o f Rajakumar Vaidyanathan from R K Investments.
Rajakumar V.: Yes, just one question, sir. Ju st considering the euros settlin g against the U.S. dollar and the Indian rupee, which is the main reason for increasing profit ma rgin this quarter. Are you

expecting this positive impact to last, and if so, could you qu a n t i f y t h e i m p a c t o f t h e appreciation?
R. V. Bubna: See, Mr. Rajakumar, even the experts who have been expertising in foreign exchange, they cannot guess and make sense. Many times what they project comes out to be wrong. So it's a very speculative field. We just follow it and accept it. We try to hedge ourselves by making some forward contracts to some extent, but that also only to a limit ed extent, you know, because all the experts go wrong in their estimations and calculation and p rojections.
Moderator: Next question is from the line o f Rohit Nagraj from B&K Securit ies.
Rohit Nagraj: Thanks for the opportunity and congrats on good recovery in FY '25. Sir, first question on the guidance, just to be a little more clear, in terms of agro and non-agro, how are we seeing the next year growth? On an aggregate basis, you have given 10% to 15% b ut will it be same across both segments or maybe agro will grow slightly higher than the non-a gro? Just your thoughts on this.
R. V. Bubna: Sir, you answered my question. They could be slightly different , but overall, it's going to be in the same range of about 10% to 15% for both agro and non-agro.
Rohit Nagraj: Sir, second question, again, coming back to the tariff thing. P ardon me, but in terms of -- you seem to be very confident of our sales. Now this is primarily b ecause even if the tariffs come, the U.S. customers or consumers will not have any other option to source from other geographies maybe because of product constraint or maybe because of capacit y constraints. Is that the thought process?
R. V. Bubna: Absolutely. The other geographies do not have t

hat manufacturin g capacity and the experience.
You understand?
Rohit Nagraj: Right. Sir, last clarification. Last 1, 1.5 years, we have been hearing that Chinese players have also started registering their products across the regulated ma rkets. So what is your understanding of the same? And is it are they is the competitio n visible from our side?
R. V. Bubna: I would say it's not visible. I also hear and see that some Chi nese companies are making an attempt, but considering the complexity and unpleasantness of t he process of registration, which is highly capital-intensive, un certainties and a very long time , discouragingly, many people are not making much of a progress, and we are waiting to see if the y can really make an impact.
Moderator: We take the next question from the line of Shubham Sehgal from Skill Ventures.
Shubham Sehgal: My question was, if you see that in the last 3, 4 years, firstl y we used to register our registration for yearly. It used to be around 130, 140 and now it has droppe d to around 45. So for FY '25, we made 45 registrations. So how should one see this and because w e are paying almost the same amount of capex for it. So how should I see this, are we able t o drive more growth from our existing molecules or what is exactly going on here?

R. V. Bubna: Mr. Shubham, I've explained many times, the process of registra tion is so filled up with uncertainties. A lot of -- and it's also dependent upon a lot o f bureaucratic processes in most of the countries. So it is very difficult to calculate and predict . Sometimes we...
Shubham Sehgal: I know that decisions takes a long time for you. But if we see a normal trend, it has been -- year-on-year, it has been decreasing, the amount of registration. As you already said that we require more require more and more registrations to drive growth. So th at is what I was asking, that the resolutions are more or less increasing year-by-year. So how do we or how are you going to drive growth if the registration s are dropping? Are there enoug h molecules existing with us when we see there is good growth opportunities? That is what I want to understand.

R. V. Bubna: I'll answer your question without hesitation. There is enough o pportunities. There's enough opportunities. And this registration and marketing of agrochemi cals is mainly dominated by the multinational companies or innovators. In all the other industr ies including pharma, after a product goes off-patent and become available for the generics, the prices fall, crash substantially and the innovators do resist. But in agrochemicals, innovators still continue to dominate 70%, 75%, 80% of the market share even 10 years after the product go es off-patent. Have I answered your questions properly?
Shubham Sehgal: Just one follow-up on this itself. So if you see that even if t he amount that you're paying for the registration, like the cash flow that we see, that has been gai ning even though the number of registrations have declined. So what should be net of that?
R. V. Bubna: The last part I never understood. Our budget is INR200 crores t o INR400 crores. But again, it is split into so many idea, so many fields, very difficult to calc ulate why is that. Only thing is the process of registration is becoming more and more expensive. Wi th every passing year, if I could get something registered for INR20 crores 5 years back, today, I spend INR40 crores for the same.
Shubham Sehgal: Okay. Got it. Just lastly, if you could provide the data of reg ion-wise registration for FY '25?
R. V. Bubna: Yes, sir. FY '25 in Europe, we are holding 1,648 registrations. In NAFTA region, 309. LatAm 759. And rest of the world, 248. Total about INR2,964.
Moderator: We'll take the next qu estion from the line of Riju Dalui from A ntique Stock Broking.
Riju Dalui: Sir, questions in terms of the volume growth. So in th

e Europea n business, we have seen 48.4% of volume growth. But in terms of the overall growth, so our gr owth was roughly 40%. So the price declined. So that was mainly on account of gaining market shares at a cost of margin. So how it is like -- what is the thought of your -- if you could e xplain?
R. V. Bubna: See, whenever you want to have market share, it has to be, you have to sacrifice some margins. It is unwritten law. If you want to prepare for margins, then w e have to sacrifice the market share. This is also very well established rule. So we have trie d to get more market share more

closest with our customers, more satisfying to this. And market share increases only, it will give them a little attractive price.
Riju Dalui: Got it, sir. So when you were saying that you were targeting ro ughly around 15% kind of top line growth in FY '26. So can we expect some kind of like -- ca n we expect the same gross margin that you have in Q4, so that will continue in FY '26 or it will be -- might be improved?
R. V. Bubna: I think it will continue, and there is a possibility for it to improve also.
Riju Dalui: So the possibility that you are saying, so that is nearly if th e overall reduction increase or the overall price increase. So in that way, we can expect some kind of price hike, some kind of a margin improvement. That is correct?
R. V. Bubna: Prices, we are also looking at the improvement in the prices.
Riju Dalui: Okay. Understood. And in terms of some data points, if you coul d clarify. For the Q4, how was the region-wise sales volume?
R. V. Bubna: What was the last word? Region-wise volume?
Riju Dalui: Region-wise volume for agrochem.
R. V. Bubna: Agrochem, yes. For Europe, it was, we said in, what currency? I mean this is in quantities?
Riju Dalui: Yes, from quantity.
R. V. Bubna: It was about 15 million tons. NAFTA about 7.1. LatAm about 6.1. And rest of the world 6.7. Total 23.34.
Riju Dalui: Okay. And in terms of regional gross margin, if you could share the number for agrochemical.
R. V. Bubna: Give me a minute, please. The gross margins in Europe was about 34.2%. NAFTA 19.5%, LatAm 27%, and rest of the world 40%.
Riju Dalui: This is for agrochemical, right?
R. V. Bubna: This is for agrochemicals.
Moderator: Next question is from the line of Viren Deshpande from Alphapea k Investments.
Viren Deshpande: Congratulations for the excellent growth we have witnessed in c urrent year as well as the Q4 because our volumes have really grown at exceptionally good rat e of 50% we are turning to see. So there have been some compromise on the gross margins. That's okay for the year-on-year, we have done very well. And so as mentioned by you, this -- the trend is expected to be better in the current year.

So we hope the things are on track and these tariff issues, whi ch seem to have been affecting everyone, from your confidence that there is no sustainable alt ernative for the U.S. to then to purchase from the companies like us for the Chinese products is very good for the investors like. So I don't want to ask any questions. I'm happy with the result s and hope the current year is even a better one for us. All the best to you.
R. V. Bubna: Thank you very much for a nice compliment. We take it with a go od heart.
Moderator: Next question is from the line of Rajat Setiya from ithought PM S.
Rajat Setiya: Is my voice audible, sir?
R. V. Bubna: Yes, sir.
Rajat Setiya: Congratulations, sir, on a good set of numbers. One question th at I have is about the volume growth that we are expecting in this year in FY '26. So we are expecting 10% to 15% kind of growth largely. Globally, I think anything market grows by 2% t o 4%. So what is driving this higher growth at our end?
R. V. Bubna: Sir, the main factor is that today, we are having only about 4% to 5

% share of the world -- global
market. So there's a lot of good scope for us to increase. If w e can increase it by 1%, it would mean almost 20% to 25% increase for Sharda Cropchem. So that is what gives us a good enthusiasm, but there's a lot of scope and it is achievable.
Rajat Setiya: Sir, in the agro segment, what has been the volume growth in Eu ropean and NAFTA region for the full year? Volume growth.
R. V. Bubna: 1 second sir. You want to know the percentage?
Rajat Setiya: Yes, sir, for the full year.
R. V. Bubna: Yes, sir. It is about 58% in Europe, 36% in NAFTA, 25% in LatAm and minus 1.5% in Rest of the World. Overall, 44%.
Rajat Setiya: This is volume growth, sir, right?
R. V. Bubna: Yes, sir.
Rajat Setiya: Okay. And sir, we are looking at margin expansion in the next y ear. I think this year, we reached around 14%, 15%. We are guiding to 15% to 18% margins in the ne xt year. And will it be largely driven by gross margin expansion? Or you expect something else?
R. V. Bubna: No, gross margin expansion.
Rajat Setiya: Basically, we expect pricing to improve in this year.

R. V. Bubna: Also.
Moderator: We take the next question from th e line of Dhara from Valueques t.
Dhara: Yes. Sir, my question is more on the gross margin front. If you could explain about our strategy of gross margin down by 500 basis points from 35% to 29% now in this quarter versus last year.
R. V. Bubna: You said reduction in margin from 34% to 29%, am I right?
Dhara: Yes, sir.
R. V. Bubna: Madam, I can only give a very general reply to it. Excess avail ability and increase in the market share.
Dhara: Are there any inventory losses or write-off?
R. V. Bubna: No.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.
R. V. Bubna: Thank you, everyone, for joining us. I hope we have been able t o answer all your queries. We look forward to such interactions in future. And these question s are also giving us a good guidance to manage our business more efficiently. We hope to me et your expectations in future also. In case you require any further details, you may contact Mr. Deven Dhruva from SGA, our Investor Relations partner. Thank you very much once again. Hav e a nice day.
Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Sharda Cropchem Limited

Q1FY26 Earnings Conference Call

July 25, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25
th July 2025 will prevail

MANAGEMENT : M R. R. V. BUBNA – CHAIRMAN AND MANAGING DIRECTOR , SHARDA CROPCHEM LIMITED
MR. SHAILESH MEHENDALE – CHIEF FINANCIAL OFFICER , SHARDA CROPCHEM LIMITED
MR. JETKIN GUDHKA – COMPANY SECRETARY , SHARDA CROPCHEM LIMITED
MODERATOR : M R. MANISH MAHAWAR – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Sharda Cropch em Limited Q1 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limite d.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questio ns after the presentation con cludes. Should you need assistance during the conference call, please signal an operator by pressi ng '*' then '0' on your touch-tone phone. Please note that this conf erence is being recorded.
I now hand the conference over to Mr. Manish Mahawar. Thank you and over to you, sir.
Manish Mahawar: Thank you. On behalf of Antique Stock Broking, warm welcome to all the participants on the 1Q FY '26 Earnings Call of Sharda Cropchem. We have Mr. R. V. B ubna - Chairman and Managing Director; Mr. Shailesh M ehendale - CFO, and Mr. Jetkin Gudhka - Company Secretary from the Management.
Without any delay, I would like to hand over the call to Mr. Bu bna for opening remarks. Post which, we will open the floor f or Q&A. Thank you and over to yo u, Mr. Bubna.
R. V. Bubna: Thank you, Manish ji. Ladies and gentlemen, my name is Ram Pra kash Bubna. Good evening and very warm welcome to everyone present on the call. Along wi th me, I have Mr. Shailesh Mehendale - our CFO, Mr. Jetkin Gudhka - Company Secretary and SGA, our Investor Relations Advisors. Hope you all have re ceived our Investor Deck by now.
As you are aware, we are engage d in marketing and distribution of wide range of agrochemical products that is herbicides, ins ecticides, fungicides, biocides , etc., catering to diverse global customer base. We prepare comprehensive dossiers and seek regis trations in our own name. We allocate substantial resources for securing registrations of ou r products and thus establish our foothold in the market. Our tot al product registration stood at 2,981 as on 30th June, 2025.
Additionally, 1,021 applications for product registrations are at the approval stage.
Coming to industry dynamics:
The global agrochemical market is showing signs of recovery dri ven by revival of demand complemented by gradual recovery in prices. Inventories have co me to normal levels across distribution channels. In Q1 FY ' 26, our total revenue has grow n by 25% to Rs. 985 crores with overall volume growth of 13%. This performance is attributable to global revival in demand and recovery in pricing.
Europe remains a major contributor to the overall growth. Volum e from Agrochemical segment grew by 11% and non-agrochemical segment grew by 59% on year-to -year basis. With input costs stabilizing, our gross ma rgins have expanded by 630 basis points to 35.5%. We expect gross margins to be in the similar range in the financial year 2026. EBITDA for the quarter stood

at Rs. 142 crores which is a grow th of 67% on year-to-year basi s. PAT for the quarter has stood at Rs. 143 crores show casing a growth of 424% on year-to-year b asis.
Working capital day stood at 100 days as on 30th June 2025 show ing an improvement by 18 days as compared to March 2025. CAPEX for the quarter stood at Rs. 114 crores. Cash and bank and liquid investments stood at R s. 791 crores as on 30th June 2025. As we step into 2026, we aim to increase the product regi strations with a planned CAPEX of Rs. 400-Rs. 450 crores backed by strong pipeline that reflects our resilience and grow th focus. We maintain our stance for FY '26 revenue to grow by 1 5% with healthy EBITDA margins i n the range of 15%-18%.
With this brief overview, I would now like to hand over the cal l to our CFO – Mr. Shailesh Mehendale for discussing our "Fina ncial Performance" during thi s period. Thank you so much.
Over to Mr. Shailesh Mehendale.
Shailesh Mehendale: Thank you, sir. Good evening, everyone.
Coming to the Quarter 1 Finan cial Year 2026

performance:
Revenue stood at Rs. 985 crores in Q1 FY '26 versus Rs. 785 cro res in Q1 FY '25 with an increase of 25% year-on-year.
Coming to the split:
Agrochemical business increased by 25% year-on-year to Rs. 846 crores whereas non-agrochemical business increased by 31% year-on-year to Rs. 139 crores. Gross margins stood at 35.5% in Q1 FY '26 as against 29.2% in Q1 FY '25. EBITDA grew b y 67% which stood at Rs. 142 crores with EBITDA margin at 14.4%. PAT stood at Rs. 143 cr ores versus Rs. 27 crores during last year showing 424% gro wth on year-on-year basis.
Working capital days stood at 100 days as on 30th June 25 with an improvement by 18 days as compared to 31st March 25. We remain debt-free company and have cash bank liquid investment of Rs. 791 crores as of 30th June 25.
We can now open the floor for the question and answers. Thank y ou.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Br oking Private Limited. Please proceed.
Bhavya Gandhi: Hi. Thanks for the opportunity. Sir, is it possible to share t he gross margin geography-wise, region-wise gross margi ns for each region?

R. V. Bubna: Yes, the gross margin in the Europe region was 43%, NAFTA regi on was 26%, LATAM 28% and rest of the worl d 26.5%, total 35.5%.
Bhavya Gandhi: Got it, sir. Sir, what has led to this substantial growth in t he European region where our revenues have grown 43% Y-o-Y if you can throw some light on that?
R. V. Bubna: Sir, growth on the agrochemical sector and good demand and goo d weather conditions to promote the agrochemical busine ss, agricultural business which is supported by agrochemicals.
Bhavya Gandhi: And sir, on the reve nue front, is it possi ble to break down in terms of product mix, FOREX and volume value growth? What is the broad bifurcation if you can p rovide?
R. V. Bubna: Volume Let me see. Now, volume in European region, it was 6,5 65,000, NAFTA 3,870,000, LATAM 805,000, rest of the wor ld 417,000. Total 11,657,000.
Bhavya Gandhi: Got it, sir.
R. V. Bubna: And overall volume is about 13.2% growth.
Bhavya Gandhi: Right. And sir, can you just throw some light on the FOREX gai n that has been substantial for this quarter, almost Rs. 70 crores plus, if you can just throw, is it because of the Euro appreciation and how do we see this going forward?
R. V. Bubna: See, it is mainly dependent upon the cross currency exchange r ates. Our business model is that we source from China and all th e sourcing is done in US dollars . And about 45% o f our sales is in European region, which is in Euro currency or some of the co untry's local currencies like Polish zloty or Czech korunas and other things. So whenever the Euro dollar exchange currency improves, then we stand benefited and profited. Last year or ab out 6 months back, the Euro dollar exchange rate was $1.04, $1.03 to a Euro. Currently, the same exchange rate is $1.17 to a Euro. So this is more than 12% increase in the exchange rate, w hich is a straight benefit to Sharda's business.
Bhavya Gandhi: Fair enough, sir. Thank you so mu ch. That is all from my end.
Moderator: Thank you. The next question is from the line of Rudraksh Rahe ja from Ithought Financial Consulting. Please proceed.
Rudraksh Raheja: Thank you for the opportunity, sir. My first question is, coul d you elaborate more on this Q1 growth, 25% sales growth? And was there any upfronting of sales in anticipation of tariff hikes?
And can we assume this kind o f growth to be sustainable?

Rudraksh Raheja: Yes. Sir, this 25% sales growth in Quarter 1, was there any up fronting of sales in anticipation of tariff hikes?
R. V. Bubna: No, it was very normal. The cus tomers were buying their normal requirement

. In some cases, of
course, the tariff matter which is being discussed by the curre nt US President, this has been
exciting and also depressing some people, but that is not very much. Our customers are about
their normal requirements and n ot very excited to buy more.
Rudraksh Raheja: So sir, we should assume that th is can sustain over the coming quarters?
R. V. Bubna: Yes, please.
Rudraksh Raheja: Good to know that, sir. Second question is regarding the gross margin expansion, which is the highest in the last few years. S o can we assume this number to be sustainable as well?
R. V. Bubna: More or less, yes.
Rudraksh Raheja: And sir, did it have any inventory gains or something like tha t? And if yes, how much?
R. V. Bubna: No, there has not been any subs tantial or remarkable inventory gain at all.
Rudraksh Raheja: Understood, sir. Tariffs for China are already declared. And s ir, what is the impact on our business that we expe ct going forward?
R. V. Bubna: Very little because t oday, China is considered to be a factory to the world. So even US does not
have much of an alternative sources to source from. And we are able to pass on all the tariff
increase to the customers in US and they gracefully accept it, knowing what the situation is.
Rudraksh Raheja: Yes. Thank you, sir. If I can s queeze in one las t question, ho w do you see the pric ing situation?
Moderator: Sir, could you please go back in the queue as there are severa l participants waiting for their turn?
Rudraksh Raheja: Yes, sure. Thank you.
Moderator: Thank you. The next question is from the line of Viraj from SI MPL. Please proceed.
Viraj: Yes, hi. Thanks for the questio n. Just two questions. One is o n the non-Agchem business, if you
see the last 3 quarters, our volume growth is much higher than value growth. So, there is a
negative realization which is pla ying out for last 3 quarters i n a row. And last 2 quarters, the
realization drop is even sharpe r. So just trying to understand what is causing this sharp drop in
realization, especially in Q1, you would have a higher tariff o n imports from China. So one
would think the realization grow th would be there to some exten t, but even in Q1, we have seen

a negative realization. So what is driving the negative realiza tion and what is dr iving the higher
volume growth?
R. V. Bubna: Have we noticed any negative realization? Mr. Viraj, we have n ot noticed any negative
realization. So I do not underst and what do you mean by that?
Viraj: So if you look at our volume and value numbers which we report for the non-Agchem business,
we have seen overall sales growth of 31% and we talked about a volume growth of 59%. So
there is a negative realization or negative price growth of 28% . Similarly, it was the case in last
quarter and the quarter before?
R. V. Bubna: No, we have not looked at it from this angle and it has not dr awn our attention in the past. So I
am not able to make any comment instantly.
Viraj: So can you give some perspective on the non-Agchem business, e specially to the US? Post the
tariff, what are we seeing in terms of the demand and similarly in terms of the pricing there?
R. V. Bubna: See, we had gone through one short period of time when the Pre sident of the USA had increased
the tariff rate to 125% over and above the existing tariffs. So people were not very much
encouraged, they were in fact discouraged. Then suddenly, we br ought it down from 125% to
about 30%. That excited the cus tomers and they rushed to buy as much as they could, fearing
that it may go up to again 100% or so. So that was a short peri od of time when people bought in
a very good quantity.
Viraj: And was there any element of pre-buy or given that there is st ill uncertainty on tariff, what can
play out for the rest of the year, was there any element of pre -buy in the non-Agchem business?
R

. V. Bubna: No, sir. Normally, if you understood a non-Agchem business, ou r non-Agchem business does
not have much of an emphasis on the stock keeping and then usin g it. People buy as per the
requirement and it is just like a tailor-made business. Every c ustomer has a specific requirement,
specific sizes and different qualities. It is not very common. So we are supplying to them as per
their requirement and that requirement may not repeat, normally doesn't repeat with the next
customer.
Viraj: Sir, my second question is on the Agchem business, the gross m argin region-wise which we

gave, for Europe and NAFTA, we have seen a very sharp jump in g ross margin, say from 36 to 43 for Europe as against 22 for N AFTA. What explains this jump in gross margin for us?
R. V. Bubna: See, we have gone through a very difficult period in our busin ess in the last 2 years. Particularly, about 1-1/2 years' back, when there was a lot of inventory in t he channel and the prices had taken a very severe beating. That had also affected our gross m argin substantially. Now, the gross margins have gone back to the normal and what you are com paring is with the period which was abnormal.

Viraj: So if I look at the rest of the year, what factors you are loo king internally which gives you confidence that this margin will sustain?
R. V. Bubna: Because there is much more and very good stability in the busi ness today, last 1-1/2 years, we had gone through a very adverse tu rmoil. That turmoil does not exist anymore.
Viraj: Just one request and I will come back the queue. Any thoughts on surplus cash because I think we were around Rs. 550-Rs. 600 crores and in Q1 alone we are cl ose to Rs. 800 crores. So any thoughts on how we want to use surplus cash? Because even with the CAPEX of Rs. 450 crores, this cash level will just build up further, so any thoughts on how we want to use this surplus cash?
R. V. Bubna: We want to run our business very comfortably and peacefully. S o we are ready for any adverse situations and still be able to maintain our business.
Viraj: Any thoughts on increasing payouts, sir?
R. V. Bubna: Yes, we have. We have declared two times dividend in this last quarter. So we will be more liberal in giving payouts, dividends or any such things, reward ing the shareholders who have stayed with us for so long.
Viraj: Thank you. I will join back in queue.
R. V. Bubna: Thank you.
Moderator: Thank you. The next question is from the line of Rajat Setia f rom Ithought PMS. Please proceed. I would request Rajat sir to pl ease unmute yourself and then as k a question.
Rajat Setia: Thanks for the opportunity, sir. Just wanted to check in the A gchem business, what has been the change in pricing situation in Q1?
R. V. Bubna: The pricing situation has improved over the previous quarter a nd the rate of increase is very slow, but it is very steady.
Rajat Setia: Sir, our sales grew by 25%, volume was 11%. So are we saying t hat 14% price has increased by 14%?
R. V. Bubna: This has increased. This is the revenue increase I am talking about. Volume growth has contributed to about 13% and foreign exchange impact has been a nother 13%. Price and product mix has been negative 1%.
Rajat Setia: Understood, sir.

R. V. Bubna: Totally 25%, 25.4%.
Rajat Setia: Sure. And sir, similarly, non-agro volume growth is 59% but re venue is 31%. So prices have not declined as what you have menti oned in the previous participant 's answers. So is it because of the change in product mix that va lue growth is lower than volum e growth?
R. V. Bubna: No, I feel it has contributed more to the freight rates. The f reight rates have increased substantially and that has contri buted to the increase in the r evenue.
Rajat Setia: I heard that volumes have increased by 59% or so. Is that corr ect

?
R. V. Bubna: The increase of 59% is in the revenue if I am correct. I am so rry. It is 59% in the volume. You are right.
Rajat Setia: But sales is 31% increased. Does that not mean that prices hav e fallen or how will you help us understand this?
R. V. Bubna: Sir, it is the product mix.
Rajat Setia: So lower value products we have sold more i n this quarter. Is that how it is?
R. V. Bubna: Y e s .
Rajat Setia: Understood. And sir, our gross margins which you have said tha t they will probably maintain in the rest of the year as well around 35%, so what is the reason that our gross margins have increased so much, even pr ice increase is not much?
R. V. Bubna: Mainly foreign exchange.
Rajat Setia: Sir, but foreign exchange is reflecting below gross margin if I am not wrong in the P&L statement?
R. V. Bubna: There is also increase in the volumes. As I have explained, vo lume has contributed about 13%

and FOREX impact is also about 13%.
Rajat Setia: Sure. I want to understand the gr oss margin which is sales min us cost of goods sold?

Rajat Setia: Thank you so much. So sir, I was saying sales minus cost of go ods sold is gross margin, so that number is 35% which is the highest in the last many quarters. A nd you were saying it will sustain.
So what led to this increase, sir?
R. V. Bubna: We feel it is sustainable.
Rajat Setia: Yes, sir. So what were the factors that drove this?
R. V. Bubna: It is because of the stability in the business. No impact of e xcess inventories and no adverse situation of people cancelling their orders at the last moment or returning the cargo.
Rajat Setia: Understood.
R. V. Bubna: This is stability of the business.
Rajat Setia: Thank you so much, sir. All the best.
Moderator: Thank you. The next question is from the line of Rohit Nagraj from B&K Securities. Please proceed.
Rohit Nagraj: Thanks for the opportunity and congrats on good set of numbers including the volume growth.
Sir, first question is in terms of the margins for Q1, so our g ross margins have improved. There is a benefit of FOREX, but excl uding the FOREX, our EBITDA marg ins are closer to 50%. And you mentioned in your commentary that gross margins for the ent ire year will hover at similar levels. And our guidance is about 15%-18%. So incrementally, wi ll the EBITDA margins be more towards 15% or they will te nd more towards 18% or excludin g the FOREX part, which we have benefited substantially dur ing Q1 and it may not recur in the subsequent quarters. So just your perspective on this. Thank you?
R. V. Bubna: Sir, I feel that the foreign exchange levels will remain at th e same level. And our EBITDA margins will also continue in the range of 15%-18%.
Rohit Nagraj: Sure. But if the pricing tends to improve from here on, is it possible that we will take more towards 18% than on the lower range?
R. V. Bubna: Yes. We feel that the prices are on the way of improvement, th e progress is slow, but they are on the increase.
Rohit Nagraj: Right. And second question is, in terms of the freight costs, you mentioned that the freight costs have been higher. So during the last one month, post quarter an d towards the end of last quarter, how has been the trend? Is it still continuing to be higher and probably that will have its repercussions on the overa ll logistic cost for us?

R. V. Bubna: It is on the trend of getting higher because of all these worl dwide conflicts, particularly Iran, Israel and this Red Sea disturbances. That is one uncertainty. And they are leading to the increase in the freights and also incr ease in the time of travel.
Rohit Nagraj: Right. That is all from my sid e. Thanks a lot a nd all the best .
Moderator: Thank you. The next question is from the line of Himanshu Bina ni from Anand Rathi. Please proceed.
Himan

shu Binani: Sir, hi and congratulations for a n excellent set of numbers. S ir, my first question is largely on the gross margin or the guidance side, basically. So what we ha ve been guiding in the last concall, we were guiding for s omewhere around 30%-31% sort of t he gross margin, while 15%-18% sort of like EBITDA margins. Now, after the 1Q results, we have increased our gross margin guidance and expect the margins to sustain at this 35%-3 6% sort of like number.
However, we have been like mainta ining our EBITDA margin guidan ce of 15%-18%. So what is it that is like stopping us in terms of like increasing the EBITDA margin guidance also?
R. V. Bubna: It may go towards 18% or little m ore than 18%. There is no pre cise calculations f or this. This is our gut feeling and impression.
Himanshu Binani: Because sir, the gross margin guidance has been like increased by almost from 300-400 basis points. However, we have been mai ntaining the EBITDA margin gui dance in that range. So ideally, that should like typically flow to the EBITDA is what?
R. V. Bubna: No, our EBITDA margin estimates earlier were on the lower side of 15%. Now, it is on the higher side of 15%.
Himanshu Binani: Got it, sir. And, sir, the second question is largely on the a grochemical cycle side. So, as you alluded in your commentary as well as on the answers for the pr evious participants that there has been like no sort of like pre-stocking. So is it like more of a cycle which is turning positive now?
So from a destocking phase, are we like entering into the resto cking phase?

R. V. Bubna: No, it is not destocking or restocking. The people are buying as per their normal requirements with the normal level of inventories, if at all which happens p rior to the season in agrochemical business and it gets reduced at the end of the season.
Himanshu Binani: Right, because why I tell you th at is we typically, Q4 happens to be the heaviest basically for us. However, we have like posted this sort of like numbers at the s tart of the year basically. So just wanted to have a sense in terms of like, is it like really the demand on ground or is it like more of a restocking basically?
R. V. Bubna: I feel it is demand on the ground.

Himanshu Binani: Got it, sir. Got i t. That is all fro m my end. Thank you.
R. V. Bubna: Thank you, sir.
Moderator: Thank you. The next question is from the line of Riju from Ant ique Stock Broking. Please proceed.
Riju: Hi, sir. Thanks for the opportunity. Sir, if I look at your ma rgins, so gross margin basically improved by 630 bps on a Y-o-Y basis, while the EBITDA margin o nly improved by 360 bps on a Y-o-Y basis. So there is a sharp jump in the other extreme side. So if you could give some lights or give some thoughts on the same, because we have seen a strong volume growth despite that we have a higher other expenses. So if you could give some light on that?
R. V. Bubna: Sir, it is very difficult to answer this question. I am facing this question for the third time in this conference. Offline, I am not abl e to comment. We will need to go into the detail and then make an answer. You can write to us.
Riju: Sure, sir. And a few bookkeeping questions. So if you could pr ovide the geography-wise registration breakup?
R. V. Bubna: One minute. Yes. We have 2,981 registrations as on 30th of Jun e. European region is having 1,660 registrations. NAFTA region about 315. LATAM 760. And res t of the world about 248. Total 2,981.
Riju: And sir, in terms of the volume that you have said like the re gion wise volume, so you have said the total volume was 11,657. Cor rect? Total volume, right?
R. V. Bubna: Y e s .
Riju: So you said like that is a 13% kind of a growth. But if I look at your last year number, the total volume was 10,861, which is roughl y 7% kind of a volume growth. So if you could explain this like if

I am wrong in the last year volume data or this year, s o if you could explain this thing?
R. V. Bubna: I have not understood the questio n. Can you repeat the questio n?
Riju: Yes. So this year our total agrochemical volume was 11,657 met ric tons. Right?
R. V. Bubna: One minute. This is 11,657 is the total?
Riju: Yes, total volume.
R. V. Bubna: Including agro and non-agro.

Riju: Yes. And sir, last year this was roughly around 10,861, is tha t correct?
R. V. Bubna: Last year?
Riju: Y e s .
R. V. Bubna: Last year I have. But I have this is for Quarter 1.
Riju: Yes. So Quarter 1. So last year Q1 this was 10,861?
R. V. Bubna: Last year Q1 the table I have, shows that the total agro and n on-agro, the volume was 10,301,000 and this year it is 11,657,000. And there is a growth of 13.2%.
Riju: Understood. If you could give me the break up for the last yea r data, it will be very much helpful?
R. V. Bubna: Breakup for?
Riju: Last year Q1 volume data?
R. V. Bubna: Yes. Europe was 5,144,000. NAFTA was 4,126,000. LATAM was 623, 000. Rest of the world 408,000. Total 10,301,000.
Riju: Sir, ROW how much, the num ber, rest of the world?
R. V. Bubna: Pardon. Rest of the world 408,000.
Riju: Understood. Got your point. Thank you.
Moderator: Thank you. The next question is from the line of Rudraksh Rahe ja from Ithought Financial Consulting. Please proceed.
Rudraksh Raheja: Yes. I think this may be a rep eat of the last questions. But I still want to check. Historically, we have seen like gross margins in the range of 30%-32% mostly and this quarter it is 35%. So any elaborations on that?
R. V. Bubna: See, this is mainly because of a good margin in European regio n. And Europe is having also a

good share of the total revenues and the margins in European re gion was about 43%.
Rudraksh Raheja: And specifically sir, in European region did we see any price increases?
R. V. Bubna: There has been some improvement in the prices. And it has been better than the previous quarter.

Rudraksh Raheja: Any percentage that you can give us, quantify it?
R. V. Bubna: Ballpark figure for what?
Rudraksh Raheja: European price increases?
R. V. Bubna: No. I don't have that figure. Thi s is a general s tatement that I am making.
Rudraksh Raheja: Understood sir. Thank you.
Moderator: Thank you. The next question is from the line of Archit Joshi from Nuvama. Please proceed.
Archit Joshi: Hi. Good evening team and firstly congrats on a solid set of n umbers. Sir, my question was lastly related to our CAPEX, we have heard you say that the CAPEX or r ather the registration costs have gone up significantly. And yet we continue to have a very solid registration pipeline. Given that, the total number of registrations that we do, do we get e conomic benefits from all the registrations? I wanted to understand for how long these regist rations that we do continue to contribute to our topline and profitability. And how many over a period of time become obsolete in terms of sales. Because given that we have 2000 plus registr ations, I was just curious to find out how much of this actually ge ts converted into economic bene fits or rather sales?
R. V. Bubna: See Mr. Archit, the newer registrations that we get, they give us a better margins and the registrations which have been old, there is more competition in those registrations and the margins get distributed. So as and when the registration become s older and older, the profit margins are going down and the ne wer registrations are coming w ith better profit margins. This is the general statement I can make.
Archit Joshi: Understood. Sir, over a period of time since we have seen incr ease in cost of registration, do we continue to register these 1000 odd products that we have in th e pipeline or have we become more selective with regards to having, let us say, go-to-market strategy or something like that, which can be a very targeted play towards certain geographies w ith certain products. Have we experienced any sort of such strategic changes in our registrat ion pipeline?
R. V. Bubna: Not anything significant that I can make a reply to you. Very rarely, once we pick up a product for registration, we pursue it till we get the registration. Un less all of a sudden the product gets banned because of environmenta l reasons or other reasons.
Archit Joshi: Understood, sir. Sir, one last question from me. Generally, ov er the last few years or maybe if we can speak about this year also, how would be the concentrati on of, let us say, the top 10, maybe 20 products or topline, will it be like more than 50%, le ss than 50% any ballpark number that you can provide?

R. V. Bubna: Yes, I can. Just give me a few minutes. You see top 10 molecul es have contributed to 36% of the total revenue in the 1st quarter of 2026. And the top 10 mo lecules in last year in the same period was about 38%. Top 5 mol ecules have contributed to 21% t his year and 23.5% last year. Top 3 molecules have contributed to 14% this year and 16% last year.
Archit Joshi: That is really elaborate, sir. Thanks a lot for all these answ ers. I wish you all the best.
R. V. Bubna: Thank you. I am happy that my team was prepared for these kind of questions.
Moderator: Thank you. The next question is from the line of Viraj from SI MPL. Please proceed.
Viraj: Thanks for the opportunity. Just one follow-up question. You s aid that the reason for drop-in realization of non-agrochemical business is product mix, but if you look at the margins in non-agrochemical business, they ha ve been quite stable around 21%-2 3%. So just trying to understand, how does it two add up?
Viraj: So exact question is, if I look at operating margin in non-agr ochemical business, they have been very stable around 21%-23% in non-agrochemical business. But if I look at the realization, they have been adverse. So while margins are stable, the realization is negative for us?
R. V. Bubna: We will have to look into that . I am not able to comment right now.
Viraj: That is all. Thank you.
Moderator: Thank you. As there are no further questions from the particip ants, I would now like to hand the conference over to the management for closing comments.
R. V. Bubna: I would like to thank everyone for joining us for this confere nce call. I hope we have been able to answer all your queries. We loo k forward to such interaction s in future. We hope to meet your expectations in future too. In case you require any further det ails, you may contact us or Mr. Deven Dhruva, our Strategic Growt h Advisors or Investor Relatio ns Partner. Thank you once

again.
Moderator: Thank you. On behalf of Antique Stroke Broking Limited, that c oncludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

6th November, 2025

To,

National Stock Exchange of India
Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G-Block, Bandra Kurla Complex, Bandra
(E), Mumbai – 400 051
Trading Symbol: SHARDACROP BSE Limited
Phiroze Jeejeebhoi Tower,
Dalal Street,
Mumbai – 400 001

Scrip Code: 538666
Subject: Disclosure under Regulation 30 of the SEBI (Listing Ob ligations and Disclosure Requirements) Regulations, 2015 – Transcript of Earn ings Call Q2 FY 2025-26.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclo sed transcript for the conference call with the Analysts / Investors for the Q2 FY 202 5-26 financial results of the Company conducted through digital means on Friday, 31
st October, 2025 at 12.30 P.M.
(IST). Transcript is also available on the website of the Company at www.shardacropchem.com .

We request you to take the same on record.

Yours Sincerely,

____
Jetkin Gudhka
Company Secretary &
Compliance Officer

Sharda Cropchem Limited
Q2 & H1FY26 Earning's Conference Call
October 31, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 31st October 2025 will prevail

MANAGEMENT : M R. R. V. BUBNA – CHAIRMAN AND MANAGING DIRECTOR – SHARDA CROPCHEM LIMITED
M R. SHAILESH MEHENDALE – CHIEF FINANCIAL OFFICER – SHARDA CROPCHEM LIMITED
M R. JETKIN GUDHKA – COMPANY SECRETARY – SHARDA CROPCHEM LIMITED
S G A – INVESTOR RELATIONS ADVISORS – SHARDA CROPCHEM LIMITED

MODERATOR : M R. RIJU DALUI – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sharda Cropchem Limited Q2 and H1 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limite d. As a reminder, all participant lines will be in the listen only mode and there wil l be an opportunity for you to ask questions after the presentation concludes. Should you need ass istance during this conference call, please signal an operator by pressing star then zero on y our touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Riju Dalui from Antique Stock Broking Limited. Thank you, and over to you, sir.

Riju Dalui: Thank you. On behalf of Antique Stock Broking, a warm welcome t o all the participants on the 2Q FY '26 Earnings Conference Call of Sharda Cropchem. Today, w e have Mr. R. V. Bubna, Chairman and Managing Director; Mr. Shailesh, CFO; Mr. Jetkin G udhka, Company Secretary from the management side.

Without any delay, I would like to hand over the call to Mr. B ubna for his opening remarks, post which we will open the floor for Q&A. Thank you, and over to yo u, sir.

R. V. Bubna: Thank you, my friend. Good afternoon, and very warm welcome to everyone present on the call.

A l o n g w i t h m e , I h a v e M r . S h a i l e s h M e h e n d a l e , o u r C F O ; M r . J e t k in Gudhka, Company Secretary; and SGA, our Investor Relations Advisors. Hope you a ll have received our investor deck by now.

As you are aware, we are engaged in marketing and distribution of wide range of agrochemical products, that is herbicides, in secticides, fungicides and bioc ides, catering to diverse global customer base. We prepare comprehensive dossiers and seek regis trations in our own name. We allocate substantial resources for securing registrations of ou r products, and thus, establish our foothold in the market.

Our total product registrations stood at 2,994 as on 30 Septem ber 2025. Additionally, 1,068 applications of the product registrations globally are at the a pproval stage. Coming to industry dynamics, the global agrochemical market is showing signs of re covery driven by -- driven in demand, complemented by gradual recovery in the pricing. Invent ories have come down to normal level across distribution channels.

In Q2 FY '26, our total revenues have grown by 20% to INR929 c rores with overall volume growth of 35%. This performance is attributable to global reviv al in the demand and recovery in the prices. We have seen volume growth across all the regions. Volumes from agrochemical segment grew by 36% and non-agrochemical sectors grew by 11% on year-to-year basis.

With input costs stabilizing, our gross margins have expanded by 690 basis points to 34.5%. We expect gross margins to be in the similar range in FY '26. EBIT DA for the quarter stood at

INR139 crores, a growth of 71% on year-to-year basis with EBITD A margins of 15%. For FY '26, we are on track to maintain healthy EBITDA margins in the range of 15% to 18%.

PAT for the quarter stood at INR74 crores, showing a growth of 75% on Y-to-Y basis. Working capital days stood at 84 days as on 30 September 2025, showing an improvement of 34 days as compared to March 2025.

Capex from H1 FY '26 stood at INR250 crores. Cash and liquid - - cash, bank and liquid investments stood at INR794 crores as on 30 September 2025. As we step into FY '26, we aim to increase the product registrations with a planned capex of I NR450 crores to INR500 crores, backed by strong pipeline that reflects our resilience and grow th focus.

With this brief overview, I would now like to hand over the ca ll to our CFO, Mr. Shailesh Mehendale, for discussing our financial performance. Thank you very much.

Shailesh Mehendale: Yes. Thank you, sir. Good afternoon, everyone. Coming to quarte r

2 financial year '26

performance. Revenue stood at INR929 crores in quarter 2 FY '26 versus INR777 crores in Q2 FY '25 with an increase of 20% year-on-year. Coming to the spli t, agrochemical business grew by 27% year-on-year to INR803 crores, whereas the non-agrochemi cal business degrew by 11% year-on-year to INR126 crores.

Gross margin stood at 34.5% in Q2 FY '26 as against 27.6% in Q2 FY '25 with an increase of 690 basis points. EBITDA grew by 71%, which stood at INR139 cro res with EBITDA margin at 15%. PAT stood at INR74 crores versus INR42 crores last year , showing 75% growth on year-on-year basis.

Coming to H1 FY '26 performance, revenue stood at INR1,914 cro res in H1 FY '26 versus INR1,562 crores in H1 FY '25 with an increase of 23% year-on-ye a r . C o m i n g t o t h e s p l i t , agrochemical business grew by 26% year-on-year to INR1,649 cror es whereas the non-agrochemical business grew by 7% year-on-year to INR265 crores.

Gross margin stood at 35% in H1 FY '26 as against 28.4% in H1 FY '25 with an increase of 660 basis points. EBITDA for the half year period stood at INR281 c rores with EBITDA margin at 14.7%, showcasing 69% year-on-year growth. PAT stood at INR217 crores in H1 FY '26 versus INR70 crores in H1 FY '25 with an increase of 212% on a year-on -year basis.
Working capital days stand at 84 days with an improvement by 3 4 days as compared to as on 31st March '25. ROCE and ROE stand at 21.6% and 17.5%, respecti vely, as on 30 September 2025. We remain debt-free company and have cash bank liquid inv estment of INR794 crores as on 30th September 2025.
We can now open the floor for the questions and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ayush Chhabria from Shravas Capital.
Ayush Chhabria: First of all, congratulations on a good set of numbers. I just have a few questions on -- so for the H1, I think our Europe revenue has been strong, but Q2 alone, I think there has been a slight drop and North American revenue has been quite strong. So if yo u could just give some color on what has happened here region-wise, it would be great?
R. V. Bubna: One minute, you want the information region-wise?
Ayush Chhabria: Yes, I just want to know Q2, why is it for the agrochemical Eur ope has been only 15%, whereas there has been super normal growth in North America? Any reason -- could you just elaborate on that?
R. V. Bubna: I won't say that there's any specific reason for this. North Am erica consumption has increased and the weather is favorable. And Europe also, we have nothing adverse as far as the weather is concerned. So I would say 15% is very normal and doesn't requir e any further comments.
Ayush Chhabria: No, sir, because last year same quarter, I think we had a 75% g rowth in Europe versus North America was negative. So I'm just trying to understand what cha nged this quarter?
R. V. Bubna: Nothing specific that I can comment on.
Ayush Chhabria: Understood. Sir, just one bookkeeping question. If you could ju st elaborate more on the forex loss that we had this quarter, it would be great.
R. V. Bubna: See, the forex loss has been very small, and it is notional. It is not a real loss. And this is something to do with the cross-currency exchange rates, for whi ch we have no control and no command. So this has happened because of the world economic fac tors, and it's a small difference. It doesn't require any serious discussion.
Ayush Chhabria: Understood. But you could mostly attribute this to most -- our revenues being higher from North America? Just trying to understand if that's...
R. V. Bubna: No. This is attributable only to the euro-dollar exchange rate because all our sourcing is in dollars and major sales in Europe, which is in euros.
Moderator: Next question is from Shubham S

ehgal from SiMPL.
Shubham Sehgal: Yes, sir. My first question was that, even in your commentary a nd presentation, we talked about volume growth in our agrochemical segment. And you also mention ed t h at w e s aw a be t ter pricing. But if we see that the volume growth was around -- vol ume growth is around 36%, and

our agrochemical segment grew by 27%. So there is almost a pric ing or negative realization of 10%. So could you just explain what is driving this negative re alization?
R. V. Bubna: I beg your pardon? What was the last part of your question?
Shubham Sehgal: So, sir, basically, you mentioned that we saw volume growth of around 36%, but our actual growth is lower. So there is definitely a negative realization or a pricing degrowth. So could you just define this pricing degrowth?
R. V. Bubna: See, the pricing degrowth is something which is very minimum. W hat we have commented when we say pricing growth is compared to what the historical prices . Historically, the prices had touched down to a very low level, and it has grown from that le vel.
Shubham Sehgal: No, no. I'll just repeat. There is a pricing degrowth, which we are seeing. And you mentioned that we are seeing better prici ng realizations, which is drivin g the gross margins. But if you actually see in the number terms, there is a pricing degrowth. So that is what I'm asking, what is driving that?
R. V. Bubna: Mr. Sehgal, I'm repeating again. When I say better pricing, I'm talking about the historical things. Now you are comparing with the volumes which has happened in th ese 3 months. So we are on a different track. I mean, I would suggest that you go to the n ext question.

Shubham Sehgal: Okay. Sure. So my next question is on the agrochemical segment. So if we see in the last quarter, in Q1, we did like similar sales, we did around INR840 crores s ales, and we did similar sales in this quarter. But our EBIT was a round INR135 crores in Q1. But in this quarter, our EBIT is very low. It's almost low by INR100 crores. So why is that, sir ?
R. V. Bubna: One minute. Can we have any comment on this? Mr. Shailesh will answer this question.
Shailesh Mehendale: See, basically, I think you have to look at H1 performance to g et right this picture because Q1, we have already reported EBIT at -- you are talking about agroc hemical EBIT, right?
Shubham Sehgal: Yes.
Shailesh Mehendale: Yes. So you have to look at H1 performance. Then you will have this. You look at H1, which is rightly reported.
Shubham Sehgal: But I mean, there is still a very big variation if you see. I j ust wanted to ask that why is there such a big variation?
Shailesh Mehendale: Yes, I think being a seasonal in the business, probably you hav e to look at H1 performance in percentage of sales, okay, for agrochemical business.

Shubham Sehgal: Okay. I'll do that. And last question was even in our non-agroc hemical segment, if you see, since the past 4 quarters, we have seen negative realizations. So any answer to that?
R. V. Bubna: Negative realization? Sir, I have not understood. We don't have any negative realization.
Shubham Sehgal: Sir, if we look at our volume growth that we are reporting, it is much higher than the actual revenue growth. So that means we have seen pricing degrowth, an d that has been happening since last 4 quarters. And despit e that, we have seen EBIT marg ins at a very high level for non-agrochemicals. Any reasoning or anything we can -- you can comm ent so we can get a better understanding?
Shailesh Mehendale: We will take offline this question, okay?
Shubham Sehgal: Okay, sir. I'll join back on the queue.
Moderator: Next question is from Rudraksh Raheja from ithought Financial C onsulting.
Rudraksh Raheja: My first question is, could you give us the gross margins regio n-wise for second q uarter?
R. V. Bubna: Yes, sir. The gross margin in Europe region is 43%; NAFTA regio n, 23%; LATAM 20% and rest of the world, 40%. Overall, 34.6%.
Rudraksh Raheja: Got it, sir. And for H2, sir, how would you see the U.S. tariff impact on our business?
R. V. Bubna: Can you repeat your question once again?
Rudraksh Raheja: Yes. For the upcoming 2 quarters, how do you see that impacting our business in reference to the U.S. tariff?
R. V. Bubna: The second half of the business is always better than the first half because it's a seasonal business. So considering the climate and growing seasons, second half is fairly better compared to the first half. And we expect the same thing in the current year.
Rudraksh Raheja: Got it. And there would be no substantial impact of U.S. tariff s on the second half?
R. V. Bubna: Yes, sir.
Rudraksh Raheja: Got it, sir.
R. V. Bubna: There would not be any substantial impact.
Rudraksh Raheja: Understood. For the agrochemical segment, sir, are we witnessin g any pricing uptrend? Or what's your outlook on volumes?

R. V. Bubna: So the prices are on the uptrend, but the speed is slow, but th ey are on that trend.
Rudraksh Raheja: Sure. Last question on the non-agrochemical segment. What led to the sales decline and margin expansion in that segment?
R. V. Bubna: So this is, again, a demand-based question. If there is less de mand, then the volume goes down. And there's no consistency that the volume should be the same. There is always subject to variations.
Rudraksh Raheja: But we have seen margin expansion, sir.
R. V. Bubna: That's the reason to assign to it.
Rudraksh Raheja: Got it. But this margin expansion, would that be because of a b etter product mix or something like that?
R. V. Bubna: Yes, it could be.
Moderator: Next question is from Rajdeep Singh from Roha Asset Managers.
Rajdeep Singh: Firstly, hearty congratulations on a good set of numbers on the revenue front specifically. Sir, to one of the earlier participant who was dwelling more on the dis connect between the volume

growth and the revenue growth. Shailesh ji, please correct me i f my understanding is wrong, that volume growth is 36%, revenue growth is 20%.
So the difference of negative 14%, 15%, this is because of the product mix and geographical mix change, right? Because subsequently, you said Europe is a h igher-margin business, gross margin and ROW, whereas LATAM an d NAFTA are lower gross margin business. And since LATAM and NAFTA has grown faster this quarter, that is why the negative product mix change is visible in the lower revenue growth. Is that fair understand ing, Shailesh ji?
R. V. Bubna: Mr. Rajdeep, you have touched the right point, and it is actual ly the product mix, which didn't occur to me, and this has occurred to you. It's mainly because of the product mix.
Rajdeep Singh: Sure, Bubna ji. This is helpful. And sir, since you are saying H2 is better and full year margin guidance you are maintaining at 15% to 18%, which means second half we'll have to be closer to 19%, 20%. So, again, on the margin front, should we be close r to 19%, 20% to achieve full year range of 15% to 18%, and we would end up on the higher end of the guidance that we have said?
R. V. Bubna: We do expect that. But what I'm saying -- telling is 15% to 18% for the full year, which will be -- if it goes up from 15% to 17%, then it has to be contributed by a higher margin in the second half, which would be more than 18% to 19%.

Rajdeep Singh: Okay. And sir, one last question from my side. On the tariff, t hough you have been saying that there has been no impact of tariff. Since August 27, this 100% tariff -- 50% tariff from India was in effect and China was 100%. Then last evening, yesterday, Chi na has brought down from 100% to 47%. So you're saying demand is st

ill strong in U.S. an d customers are getting in more inquiry and more orders for you or is that?
R. V. Bubna: No, sir. I would -- here, I'd like to elaborate for the informa tion knowledge of all the participants. Agrochemical products are not freely tradable products. They ar e required to be registered and any customer cannot buy from anywhere or any country, he has to buy only those products which have been registered and approved by the government of America.
And the number of registrations are very limited and number of sources are also very limited.
So we do pass on all the tariff increase to our customers. And customers don't grumble about it because they are also very easily able to transfer it to their customers or farmers. And at the end of the day, the increase in tariff is borne by the U.S. citizen s and not the suppliers or the distributors which are involved i n the process of import and ex port.
And most of them buy from anybody else or any other country un less the product is approved and the process of approval is very expensive and highly time c onsuming, and it is not impacted by the tariff rates.
Rajdeep Singh: Yes, fairly understood, sir. And that is a beautiful moat that you have built in, in terms of servicing the markets. Congratulations to you and your team and all the best for stronger H2 and FY '27.
Moderator: Next question is from Rohit Nagraj from B&K Securities.
Rohit Nagraj: Congrats on good set of numbers for the first half. Sir, just o ne question for the NAFTA market during the first half, we have grown by almost 25%, 26%. During the month of October, I mean, you have alluded to it a little b it in terms of the demand side issues, demand side dynamics.
But in the month of October, is there any -- some moderation in terms of demand, particularly from the NAFTA market given that some of the material was alrea dy dispatched in anticipation of those tariffs in the earlier months.
So have we seen any moderation in demand for Q3, particularly? And then Q4 will be a startup year. So there will be incremental demand, which will be a fres h demand. So your thoughts on this?
R. V. Bubna: Mr. Nagraj, first of all, I would like to comment that your que stion is very long and not to the point. The answer is very brief and to the point that there is no decline in the demand in the month of October. Does that answer your long question?

Rohit Nagraj: Yes, sir. Absolutely fine. All the best.
Moderator: Next question is from Himanshu Binani from Anand Rathi.
Himanshu Binani: Sir, I have a couple of them. Number one, on the revenue growth when we see. So first half, we have already done somewhere around a 23% sort of like revenue g rowth, while we expect the second half to be like stronger than that of the first half. Ho wever, we have been like guiding for

a 15% sort of like growth for full year FY '26. So how should a ctually one look into the overall
revenue growth for the current year?
R. V. Bubna: Mr. Himanshu, we are not precise and the decimal point calculat ions for these things. This is the atmosphere and the consumption patterns, which is happening, an d that is very encouraging. I cannot give you an exact decision of 20% or 22.1% of these thin gs. These are approximate things, and this is what we expect.
Himanshu Binani: Okay. So, sir, second question is largely on the registration. So if you can like give a breakup of the registrations geography-wise as well as in the pipeline, th at would be helpful.
R. V. Bubna: One minute. See, we have 2,994 registrations. Out of that, 1,67 0 are from Europe, 317 in NAFTA region, 759 in LatAm and about 250 in rest of the world, totall y 2,994. Now registrations in pipeline, Europe is 710, NAFTA 100, LATAM 160 and rest of the w orld, about 100, totally 1,068.
Himanshu Binani: Got it, sir. And sir, my last question is largely on the -- if

you like can give a breakup of the
overall revenue growth between s ales volume, price and forex?
R. V. Bubna: Revenue growth is -- due to volume growth is 34.8%. FX impact i s 1.9%. Product mix is 17% and total growth is 19.6%. This is for the Q2 FY '26.
Moderator: The next question is from Viraj from SiMPL.
Viraj: Congratulations on good set of numbers. I just had a few questi ons. First is, see, if I look at the segmental margins, right, for Q2 in agrochemical and if I compa re it to Q1, we have seen almost similar level of sales which we are reporting. But in absolute EBIT, which we report in the segmental, there is a sharp drop. I understand one should look at H1 on an annualized basis, but I'm just trying to understand th is better that what drives such a sharp variation on quarter-to-quarter basis. Hello?
Moderator: Please give us a moment. The line for management has been disc onnected. Please stay connected while I reconnect. The line for the management has been reconne cted.
Viraj: Yes. Hello? Yes. Sir, did you get my question? Or should I repe at?

R. V. Bubna: Can you repeat it, please?
Viraj: So if I look at the quarter 2 segmental revenue for agrochemic al, we are roughly around INR835 crores, INR840 crores, and it's broadly same as Q1. I understan d we should look at H1 or on annual basis. But I'm just trying to understand our business a little better. On a similar level of sales, our EBIT in the quarter 2 is lower by almost INR100 cror es versus Q1. So what explains this?
R. V. Bubna: This can be explained by going on the aspect of product mix. Al l the products are not equally priced. The prices between one product to another varies substa ntially. So the volume growth might have been on a lower-priced product.
Viraj: Okay. Sir, but if the product mi x is towards lower price and lo wer margin products, then our gross margin shouldn't have improved, right? We should have act ually moderated. I'm more specifically talking about the segmental agchem numbers for the quarter. And if I compare in Q2 versus Q1, the EBIT in agrochemical business has seen a shar p drop versus Q1?
R. V. Bubna: Have we seen a sharp drop?
Viraj: So if you see quarter 2 versus q uarter 1, there's almost a redu ction of INR100 crores?
R. V. Bubna: Quarter 2 to quarter 1 reduction of INR100 crores? I'm not able to get your question, sir.
Viraj: My question is, if you see in quarter 2, agrochemical sales and if you compare that to the sales of agrochemicals in quarter 1, they are almost similar, but the re is a material difference in operating profit, which is EBIT, which we report in the segment al number. So why is that the case?
R. V. Bubna: I'm not able to comment on this question, and I don't have such a deep study of these figures. I can only tell you that this has b een mainly impacted also by th e product mix.
Viraj: Sure, sure. But if product mix were to have a negative impact, then our gross margin, instead of improving would have seen some pressure. I mean, that's what I would probably think it to be the case.
R. V. Bubna: No, it's not necessary. The gross margin also depends from prod uct to product. There's no standard.
Viraj: Right. Sir, just 2 more questions on the segmental. See, if the forex gain or losses, which we report, would that -- when we re port the segmental numbers, esp ecially the EBIT, would all the forex gain or losses, say, in Q2, we had a minor loss, in Q1, w e had a gain. Would that be also reflecting in the EBIT number?

R. V. Bubna: Yes.
Viraj: Okay. Second question is, if I look at the H1 numbers and if I look at the cash flow, we have around INR29 crores of write-offs of intangibles. So would it b e right to think that all of that INR29 crores accrued in the second quarter?
R. V. Bubna: No.
Viraj: Can you give a breakup

?
Shailesh Mehendale: Just to take -- see, this major portion is in Q1, anything -- h ardly anything in Q2.
Viraj: Okay. So again, the write-offs of intangible would be reported in the -- would be included in the segmental EBIT, which we report in agchem, right?
Shailesh Mehendale: Yes, correct. But then Q1, you will have more impact and Q2 is hardly there is an impact. So H1, you will have that INR29 crores impact.
Viraj: Okay. Understood. So Q1, even after having that impact of INR29 crores, we had a better margin. And Q2 having no impact, we had a material drop in our margin. Third question is, sir, in non-agchem. What I'm trying to understand is, see, overall s ales growth, we have been reporting and if I compare the volume growth, volume growth is much higher rate than the sales growth.
So there's a negative price or the mix impact. But if I look -- if I compare this to our operating profit, EBIT again, our margins have been growing at a faster r a t e . S o I ' m j u s t t r y i n g t o understand what explains this?
R. V. Bubna: Why don't you reply?
Shailesh Mehendale: non-agrochemical-- can you repeat your question on non-agroch emical business, right?
Viraj: So in non-agrochemical business, we have been consistently seei ng that our volume growth has been higher than our sales growth for last 3, 4 quarters, while our segmental pro fit and margins, which we report are improving. So I am just trying to understan d that despite having a negative price or realization impact, we are seeing one of the highest e ver segmental margin. So what explains this?
R. V. Bubna: Mr. Viraj, my answer is -- beyond that, I'm not able to comment anything because we don't -- I mean, have all the so much detailed information offhand.

Viraj: Okay. Got it. Sir, just 2 questions. See, on an effective tax r ate, if you look for H1, it's lower. But if I look at on a cash flow basis, we've hardly seen any ta x payout in the cash flow terms. So just trying to understand why is this? And how should we look a t effective tax rate for FY '26?
R. V. Bubna: Mr. Shailesh?
Shailesh Mehendale: Your question is the tax, right?
Viraj: Yes, effective tax rate -- so I'm comparing both the cash flow and the accrued basis, which is there in the P&L?
Shailesh Mehendale: So I will take these 2 questions separately. One is, you are ta lking about the tax impact, the agrochemical business, which is spread across globe, we are hav ing the taxation as per the local respective tax rate applicable to those countries.
Viraj: Okay. So on a full year basis, FY '26, what is the tax -- effec tive tax rate we should consider?
Shailesh Mehendale: So for stand-alone entity, you can say roughly 18% to 20% effec tive tax rate.
Viraj: For the consol, right?
Shailesh: For consol basis, yes.
Viraj: Okay. Last question. Any thoughts on...
Moderator: Mr. Viraj, you can rejoin the queue for the follow-up question.
Viraj: Sure. Thank you.
Moderator: Next question is from Sameer Deshpande from Fairdeal Investmen ts.
Sameer Deshpande: Bubna-ji and all your team, congratulations for the very good r esults and the consistency you have shown in last 3 to 4 quarters. And despite overall the agr ochemical industry in India, particularly doing very badly, we are standing very well in tha t growing very fast and the confidence which you have excluded in the future half 2 to also and is really heartening.
The tariff impact, as you mentioned, U.S. tariffs increase or a ny tariffs will be easily passed on. So that doesn't affect our gross margins and operating margin. That is also really good. So -- and the new product registration investment, as you rightly mention ed, will really help secure our future.
The important point which you mentioned, I want a clarificatio n on that, that since we -- suppose we have a product registered in Australia and U.S.A. and may

be Europe. And that product

registered when there is a tender for that particular product, then we are the -- and we secure that tender, then we are the only people -- company which can supply that product to that particular countries. Is it correct?
R. V. Bubna: No, it's not 100% correct. Every company who has the registrati on of that product in that country can bid for the tender. But there are not many people who have such a wide range of registrations and the registration process is a very complicated, investment- oriented, time-consuming and boring. So most of the people do not go into this intangible as set and registrations. And we have tested the fruits of these registrations.
And to answer your question, we are not manufacturing. Manufac turers have a lot of disadvantages in agrochemical business because it's very diffic ult to maintain the manufacturing in the off-season. We are not impacted adversely because of all these variations. We are also not -- a manufacturer is bound to sell his product and he cannot ma nufacture many products. We have hundreds of products. And if we find that some products ha s less demand and no margins, we don't deal with that product. We have that freedom, which a manufacturer does not have.
Sameer Deshpande: Yes, yes. Really, the fungibility of the product makes us an e- commerce company in agrochemicals. Where there is de mand, you can cater to. Otherwi se, you don't have to keep investing into something which is not productive for us or maki ng any money for us. That is really heartening. And the current euro and USD is, I think the 1.15, 1.16 it is suitable for us to maintain this...
R. V. Bubna: Sameer, first of all, we don't ha ve a choice. But I can only co mment that if euro is stronger than dollar, it is more stronger, it' s more beneficial to the compan y because our sourcing is in dollars and sales is in euros. And if euro becomes weak against dollars , then we are adversely impacted.
Sameer Deshpande: Yes. But the current situation seems to be quite favorable to u s because in the...
R. V. Bubna: We will always welcome if it becomes 1.2.
Sameer Deshpande: Yes, yes.
R. V. Bubna: And we have seen instances and timings when the euro has been 1 .25x and 1.3x the dollar.
Sameer Deshpande: Yes.
R. V. Bubna: So there is no end to this scope.
Sameer Deshpande: Yes. All the best to you.
Moderator: We will take next question from Archit Joshi from Nuvama.

Archit Joshi: I hope you all had a very good Diwali. Sir, if you can share th e geography-wise volumes, I don't think we have furnished that dat a before in the call, if you ca n share that?
R. V. Bubna: Let me see. Geography volume is, Europe, 7 million units; NAFTA , 3.3 million units; LATAM, 1.6 million units, and rest of the world, 0.85 million units. T otal 17-point -- sorry, 12.7 million units and year-to-year growth is 36% in the volume.
Archit Joshi: Sure. Sir, I think a lot of people earlier in the call have bee n trying to understand how our sales is broken up into. I think you alluded that 35-odd percent come s from volume, 1.9% is the forex impact, and there is a 17% negative product mix impact.
I was just trying to understand this minus 17% product mix, Sha ilesh ji, if you can help us understand since we probably mentioned earlier during the call that product mix impact is positive. So is this minus 17% a price-led decline? And if it i s so, what has caused this year-on-year price-led decline, if you can help, sir?
R. V. Bubna: Mr. Archit, first of all, I want to correct your impression. It is not price decline. Product mix means one product we are selling at $10 per kilo, other product , we are selling at $90 per kilo and third product we are selling at $50 per kilo. So this is th e prices of each product is impacting the -- I mean, is co

ntributed by the product mix. If there's mo re demand for $90 per kilo product, the volume will may be less, but the revenues will go up and vi ce versa. Have you understood?
Archit Joshi: Yes, sure, sir. Sure. Another one on bookkeeping itself. And th is is alluding to our statement or rather the expectation that gross margins for the second half w ill be in the similar range. What would be the reason behind this, sir? Is it that the input cost s will continue to be on the lower side? Is that the right understanding that you can frame?
R. V. Bubna: No, sir. I would repeat again, agriculture is a seasonal busine ss and agrochemical business is also a seasonal business. There's a very good crop in the sprin g and very poor crop in the winter.
So the second half is contributed by the spring season, which h as a lot of demand and a lot of agriculture. Have I answered your question?

Archit Joshi: Sure, sure.
R. V. Bubna: And this is happening year after year, every year, every agroch emical dealer or manufacturer is impacted by the seasons.
Archit Joshi: Sure, sir. Sir, one last question from me. I was looking at one of the line items in the income statement, which is purchase of stock in trade. I've seen that for the last 2 quarters, which is 1Q FY '26 and this quarter, which is 2Q, the increase has been ver y sharp.
Is this because we are anticipating or rather we have planned o ur supplies in a way that we will buy low-cost RM, which was prevailing in the first half and tha t might get consumed in second

half, which might help us maintaining solid margins because sto ck in trade that is being reported has grown in very healthy double digits, almost 50% higher year -on-year. So your thoughts on that, sir?
R. V. Bubna: See, our procurement is not dependent upon the product prices. The procurement is again estimates by our customers, our distributors and again, dependi ng upon the forecast for the weather and trend of products which are consumed by the consume rs, all these things decide the procurements and not the prices.
Moderator: Next question is from Manish Shah, an Investor.
Manish Shah: This question is for Mr. Shailesh Mehendale. Sir, even in the f irst quarter where we have gained a foreign exchange profit of somewhere about INR70 crores. The euro-dollar was 1.16 only and still it is 1.16 only. But in this quarter, we have booked a lo ss. So what should be the reason? Have we sold more in the non-euro region in this quarter?
Shailesh Mehendale: See, let me explain the loss, particularly in the quarter 2, wh ich we have reported around INR6.7 crores is towards -- is mainly - - see, we are having some forei gn currency payables towards our product registration, mainly relating to capex payables. So tha t also needs to be realigned as per the accounting standard.
So those have contributed this unrealized loss of this INR6 cro res, mainly INR6 crores includes -- on the notional loss, unrealized loss on account of capex pa yable realignment. It is not to do with this -- on the -- in fact, if you look at YTD H1, we are h aving positive YTD or forex gain of INR67 crores, and that includes mainly realized gain.
R. V. Bubna: One minute, I will add something more to what Mr. Shailesh has replied. See, we booked the foreign exchange on the day the transaction takes place. But th e payment is not made on the same day. The payment is made after the credit period, sometime s after 3 months or after 6 months. So the actual impact happens on the date when the payme nt is made. So if I book the euro-dollar rate at 1.16 on the date of happening and 1.4, then I have made a loss. Have you understood?
Manish Shah: Yes, sir. I understood, sir.
Shailesh Mehendale: Purely notional.
Manish Shah: Sir, so you believe that in the ensuing quarters, it will rever se?
R. V. Bubna: No. We don't speculate. We take opinions of the experts,

and we find that many times the experts also go wrong. They are not fortune tellers.

Manish Shah: Yes, absolutely right, sir. Okay, sir. And sir, by going by the run rate, should we cross INR5,000 crores revenue in this year?
Moderator: Ladies and gentlemen, please stay connected the line for manage ment has been disconnected. Ladies and gentlemen, we have the management line back on line with us.
Manish Shah: Yes. Sir, my question was regarding -- going by the run rate, s hould we cross INR5,200 crores by the end of this year?
R. V. Bubna: Sir, your first part of the question was INR5,000 crores. And I said yes.
Manish Shah: No, no, INR5,200 crores.
R. V. Bubna: INR5,200 crores?
Manish Shah: INR5,200 crores.
R. V. Bubna: Yes, it can.
Manish Shah: Yes. And sir, but going by the strength of our registration and distribution strength, which we have built in the last many years, do you think in the next 4, 5 years, can we be a INR10,000 crores company possible, next 4, 5 years?
R. V. Bubna: You are Mr. Manish speaking?
Manish Shah: Yes, yes, sir.

R. V. Bubna: Mr. Manish, we don't gamble and we don't speculate. We just han dle the situation as it comes in front of us.
Manish Shah: But sir, going by the strength of our registration and the dist ribution strength, 4, 5 years is quite a long period. Can it be reasona bly ascertain that it can be do ne or no? There is no chance?
R. V. Bubna: It could happen. Nobody can predict. And all these things also impact the total world economy and the exchange rates and a lot of things, which I do not want to speculate and guess.
Manish Shah: Yes, I got your point, sir. I got your point. Sir, but generall y, the European region is a high-margin business. And in the second half, we do more business in the European region?
R. V. Bubna: Also. Hello? You see there are a lot of countries in the Northe rn Hemisphere. They have better agriculture and good economy, but a lot of countries in the Sou thern Hemisphere, there the weathers are totally opposite. And fortunately, we have access in the entire world, all the geographies in the world, which is very unique.

Manish Shah: Congratulations and best of luck, sir.
Moderator: Next question is from Love Gupta from Counter Cyclical Investme nts.
Love Gupta: Congratulations on a good set of numbers. So I had a question o n the non-agrochemical side. So a majority of our non-agro revenue comes from the North America n market. So in that segment, do you see any impact from the tariffs imposed on like volumes or demand?
R. V. Bubna: Not so easily because this non-agrochemical business, mainly co nveyor belt are, again, not freely tradable products and we don't sell from the stock. They are al l businesses concluded and depend -- we don't have any stock for that. Every customer has a speci fic requirement and specific size, specific quantity and a lot of spe cifications. So this business is made to order and not stored and sold. Have you understood?
Love Gupta: But sir, do you see any impact on like volume negative impact f rom the tariffs?
R. V. Bubna: Yes, sir, I'm coming to the second part. So it's -- if a custom er is used to buying product from Sharda and is satisfied with the quality and service of Sharda, for him to develop a new supplier takes time, a lot of efforts and a lot of uncertainties. So he prefers to buy from Sharda and pay the tariffs and other things. He understand that Sharda is not able to absorb all the increase or variation in the tariff rates. This is all happening because we are not stocking. We are making to order.
Love Gupta: Okay. So in the non-agro side also you are able to pass on the tariffs to the customers?
R. V. Bubna: Also, yes. Fortunately, this tariff rate is very openly known t o everybody. The customer knows that the tariff has incre

ased and the supplier knows.
Moderator: Ladies and gentlemen, in the inte rest of time, tha t was the las t question. I would now like to hand the conference over to management for closing comments.
R. V. Bubna: Thank you, madam. I want to thank everybody who have joined us for this call. I hope we have been able to answer all your queries. We look forward to such i nteractions in future. We hope to meet your expectations in future also. In case you require a ny further details, you may contact us, or SGA, our Investor Relations Partners.
Thank you very much. Thank you so much for everybody.
Moderator: Thank you very much. On behalf of Antique Stock Broking Limited , that concludes this conference call. You may now disconnect your lines.

Call: Feb 2026

3rd February, 2026

To,

National Stock Exchange of India
Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G-Block, Bandra Kurla Complex, Bandra
(E), Mumbai – 400 051
Trading Symbol: SHARDACROP BSE Limited
Phiroze Jeejeebhoi Tower,
Dalal Street,
Mumbai – 400 001

Scrip Code: 538666
Subject: Disclosure under Regulation 30 of the SEBI (Listing Ob ligations and
Disclosure Requirements) Regulations, 2015 – Transcript of Earn ings Call Q3 FY
2025-26.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), please find enclo sed transcript for the conference call with the Analysts / Investors for the Q3 FY 202 5-26 financial results of the Company conducted through digital means on Friday, 30
th January, 2026 at 01.00 P.M.
(IST). Transcript is also available on the website of the Company at www.shardacropchem.com .

We request you to take the same on record.

Yours Sincerely,

____
Jetkin Gudhka
Company Secretary &
Compliance Officer
Encl: As above

Sharda Cropchem Limited
Q3FY26 Post Result's Conference Call
January 30, 2026

MANAGEMENT : M R. R. V. BUBNA – CHAIRMAN AND MANAGING
DIRECTOR – SHARDA CROPCHEM LIMITED
M R. SHAILESH MEHENDALE – CHIEF FINANCIAL
OFFICER – SHARDA CROPCHEM LIMITED
M R. JETKIN GUDHKA – COMPANY SECRETARY –
SHARDA CROPCHEM LIMITED

MODERATOR : M R. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sharda Cropchem Limited Q3 and 9M FY '26 Post Results Conference hosted by Antique Stock Broking Limited . A s a r e m i n d e r , a l l participant lines will be in the lesson only mode and there wil l be an opportunity for you to ask questions after the presentation concludes. Should you need ass istance during this conference call, please signal an operator by pressing star then zero on y our touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Anti que Stock Broking Limited. Thank you, and over to you sir.

Manish Mahawar: Thank you, Bhumi. Warm welcome to all the participants on the Q 3FY26 Earnings Call of Sharda Cropchem. We have Mr. R. V. Bubna, Chairman and Managing Director; Mr. Shailesh Mehendale, CFO; and Mr. Jetkin Gudhka, Company Secretary on the call.

Without any delay, I would like to hand over the call to Mr. Bu bna for opening remarks. Thank you, and over to you Bubna Ji.

R.V. Bubna: Thank you, Manish Ji. Good afternoon, and a very warm welcome t o everyone present on this call. Along with me, I have Mr. Shailesh Mehendale, our CFO; Mr . Jetkin Gudhka, Company Secretary and SGA, Mr. Deven, ou r Investor Relations adviser. H ope you have all received our investor deck by now.

We are pleased to report a robust performance driven by strong volume growth and an improved product mix, supported by accelerated product registrations. Th is has helped us achieve our highest ever PAT for any year.

Even though our strongest quarter, Q4 is still ahead, the comp any expects this growth momentum to continue in Q4 FY '26 and remain strong through FY '27. As you are aware, we are engaged in the marketing and distribution of wide range of agrochemical products catering to diverse global customer base. We developed comprehensive dos siers and obtained product registrations in our own name.

We continue to allocate substantial resources towards securing registrations, which strengthens our market presence and helps establish a sustainable foothold across key markets. As of 31st December 2025, our total product registration stood at 3,004. A dditionally, 1,076 applications for product registrations globally are in the approval stage.

Coming to industry dynamics. Global agrochemical market is sho wing signs of recovery, driven by revival in demand, complemented by gradual recovery in the p ricing. Inventories have come to normal levels across distribution channels. In Q3 FY '26, ou r total revenues have grown by 39% to INR1,289 crores with overall volume growth at 14%. We ha ve seen volume growth in Europe and Latin America emerging as contributor.

Volumes from Agrochemical segment grew by approximately 15% an d non-agrochemicals segment grew by approximately 14% on a year-to-year basis. With input costs stabilizing, our gross margins have expanded by 220 basis points to 34.9%.

As guided earlier, we expect gross margins to be in the simila r range in FY '26. EBITDA for the quarter stood at INR246 crores, a growth of 59% on year-to-year basis with EBITDA margins at 19.1%. For FY '26, we are on track to maintain healthy EBITD A margins in the range of 18% to 20%.

PAT for the quarter stood at INR145 crores, showcasing a growt h of 366% on year-to-year basis. Working capital days stood at 70 days as on 31st December 2025, showing an improvement by 48 days as compared to March 2025. Capex for 9M FY '26 stood at INR399 crores. Cash and bank liquid investments stood at INR826 crores as on 31st Decem ber 2025. For FY '26, our planned capital expenditure stands at INR500 crores, supported by strong project pipeline that underscores our resilience and continued focus on growth.

Wi th t h i s b r ief over v iew

, I wou ld n ow li ke to h an d o ver th e c a ll to our CFO, Mr. Shailesh Mehendale for discussing our fin ancial performance. Thank you, everybody.

Shailesh Mehendale: Thank you, sir. Good afternoon, everyone. Coming to the Q3 FY ' 26 performance, revenue stood at INR1,289 crores in Q3 FY '26 versus INR929 crores in Q3 FY ' 25 with an increase of 39% year-on-year. Coming to the split, Agrochemical business grew b y 48% year-on-year to INR1,141 crores, whereas the non-agrochemical business degrew b y 8.1% year-on-year to INR148 crores.

Gross margin stood at 34.9% in Q3 FY '26 as against 32.7% in Q 3 FY '25, increase of 220 basis

points. EBITDA grew by 59%, which stood at INR245.5 crores with EBITDA margin at 19.1%.
PAT stood at INR145.1 crores versus INR31 crores last year, sho wing 366% growth year-on-year basis.
Coming to the 9MFY '26 performance, revenue stood at INR3,203 crores in 9M FY '26 versus INR2,491 crores in 9MFY '25 with an increase of 29% year-on-yea r . C o m i n g t o t h e s p l i t , Agrochemical business grew by 34% year-on-year to INR2,790 cror es whereas the non-agrochemical business grew by 1% year-on-year to INR413 crores.
Gross margin stood at 35% in 9MFY '26 as against 30% in 9MFY ' 25 with an increase of 500 basis points. EBITDA for 9 months period stood at INR526.7 cror es with EBITDA margin at 16.4%, showcasing 64% year-on-year growth.
PAT stood at INR362 crores in FY -- in 9MFY '26 versus INR101 crores in 9MFY '25 with an increase of 259% year-on-year basis. The company has already ac hieved highest-ever annual PAT in 9MFY '26. We remain net debt-free company and have cash bank liquid investment of INR826 crores as on 31st December 2025. Looking at the performance, the Board of Direc tors declared an interim dividend of INR6 per share.
We can now open the floor for question and answers.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Ansh Shah from Smart Invest.
Ansh Shah: So congratulations for the good numbers. So my question is on a long-term basis for the capex line. So with a strong global registration of pipeline of 1,070 products we are planning to get the registrations. So can you just give an idea about typical appro val time lines and particularly in Europe, what time frame over which of these registrations are e xpected to be at active and contributing to the revenues?
R.V. Bubna: Mr. Ansh, your many words were not understood. I would request you to kindly speak slowly and loudly. Repeat your question once again?
Ansh Shah: S o m y q u e s t i o n w a s , s o a s w e a r e p l a n n i n g t o d o a c a p e x o v e r a r ound INR400 crores on increasing our registration pipeline of around 1,070 products. So can you give us an idea about what time frame should we expect, particularly in Europe, in wh ich our registration will be expected to be active and contributing to the revenues?
R.V. Bubna: Mr. Ansh, I don't know whether you have tracked the company's r ecord and performance so far. I have repeatedly mentioned in every conference that registrati on process is full of uncertainties, and nobody can predict how much time will it take.
To give you an example, a registration may be obtained in 1 yea r or 2 y e ars , a n d th e s am e registration can take 6 to 7 years because of the uncertainties . The government authorities keep on getting new requirements, which is keeping -- adding to the process of registration and also the cost of registrations. So I have no answer to your question as to how much time we will get these registrations.
Moderator: Our next question comes from the line of Giriraj Daga from Visa ria Family Trust.
Giriraj Daga: Congratulations on good numbers. Sir, my question is related to our FY '27, next year. Let's say, what would your thought

would be that will be able to see somet hing like a 15% kind of a volume growth next year?
R.V. Bubna: Hopefully, yes. We are very confident that 15% is achievable.
Giriraj Daga: Okay. And second question, we have been mentioning the 35% gros s margin is very much sustainable for FY '26. Will it be sustainable for FY '27 also?
R.V. Bubna: Yes, sir. Maybe it will -- goes up still further.
Giriraj Daga: Okay. And last, sir, one, capex guidance for FY '27, if you can help us?
R.V. Bubna: Sir, again, as I told the previous speaker, the capex and the r egistration process is full of -- lot of uncertainties. I would say it will be in the range of INR450 cr ores to INR500 crores. It can be still more, I cannot say. But it will be in the same range.

Giriraj Daga: Okay. One last on industry, sir. Have we seen some pricing upti ck happening across in our portfolio now?
R.V. Bubna: Yes, sir. As we have stated, we have passed through a very bad time about 2 years back when there was excess liquidity and abundance of stocks in the pipel ine. Those have dried up. And as the things are getting normalized, the pric es are also moving. The speed is less, but it is moving up.

Moderator: Our next question comes from the line of Anubhav Mukherjee from Prescient Capital.
Anubhav Mukherjee: Sir, the agrochemical segment volume growth was roughly 15%, an d revenue growth was 48%. So how much was the realization increase year-on-year? And how much was forex scheme?
R.V. Bubna: One second. See, this total growth was 38.7%, out of which volu me growth contributed to 14.4%. Foreign exchange impact was 12.6%. Price and product mix impact was 11.6%, a total 38.7%.
Anubhav Mukherjee: Sir, will it be possible to share same for specif ically the agr ochemical segment?
R.V. Bubna: No, this is total. This is total, both agro and non-agro.
Anubhav Mukherjee: And sir, the realization growth that you mentioned, is it a fun ction of actually prices moving up? Or is it an impact of product mix change?
R.V. Bubna: Mr. Mukherjee, your last sentence was very low in the -- I woul d like you to repeat the question once again.
Anubhav Mukherjee: Sure sir, is it better now?
R.V. Bubna: Yes.
Anubhav Mukherjee: Sir, I was asking the realization growth year-on-year that you mentioned. Is it driven by actual prices moving up of products, or is it more product mix change driven?
R.V. Bubna: Mr. Mukherjee, I think you are new into the system. It is drive n by both product mix as well as the prices realized.
Anubhav Mukherjee: Get that. So sir, since you also mentioned that prices are now moving up. So do you see like scope for significant improvements from current levels also?
R.V. Bubna: See, significant is a very ambiguous word. It will be growing. And nobody can predict how much, but it is on the way up. And we expect the growth in our total revenue to be around 15% to 20% in the year FY '27.

Anubhav Mukherjee: Get that. And sir, this quarter as well as for 9M FY '26, Europ e has shown a very good growth. Specifically this quarter, it's almost doubled year-on-year. So can you provide some color on how Europe is doing so well?
R.V. Bubna: See, I'll say there are 3-4 factors. One is good climate, good atmosphere for agriculture and good demand for the products. And our ability to meet the demands of the customers on time.
Anubhav Mukherjee: Okay. Is there any element of one-off restocking happening in E urope? Or it's like more demand-driven?
R.V. Bubna: I didn't understand this one-off point, but I would say it is d emand-driven.
Anubhav Mukherjee: Get that. And sir, on the other hand, like NAFTA region witness ed a decline year-on-year in this quarter. So is this any impact of tariff for anything?
R.V. Bubna: Mr. Mukherjee, I have repeated on various platforms, and I'm re peating again, a

grochemical
products are not impacted by tariff. As you know, they are not freely tradable products. They're required to be registered first, involving a huge investment. A nd very few companies or people believe in this huge investment on registrations, which is an i ntangible asset.
So saying that, fortunately, for agrochemicals, the tariff is not, I mean, affecting at all, particularly to the su ppliers. We are able to pass on all the t ariff smoothly to our customers, and customers have no other choice to buy from anywhere or anywhere . They have to source the products only from registered sources and registered sources ar e very limited for every product. And the product has to be sourced from an approved manufacture r, approved factory. It cannot be manufactured anywhere as you like. So the customer knows thi s and he accepts the adding of the tariff and he smoothly and gracefully makes the payment. An d the payments are also on time.
Anubhav Mukherjee: Just last question from my side…
Moderator: Sorry to interrupt you, Mr. Mukherjee, please rejoin the queue for a follow-up question.
Anubhav Mukherjee: Sure, I will do that. Thanks.
Moderator: Our next question comes from the line of Nilabja Dey from Ashmo re Research.
Nilabja Dey: First of all, congratulations, sir, for sticking to whatever gu idance you gave for the last previous Q1, Q2. Sir, actually, first of all, just like to confirm that you have increased, earlier you were telling your margin is from 15% to 18%. Now you are putting it on 18% to 20%. Am I right? Just to reconfirm FY...
R.V. Bubna: Yes, sir.
Nilabja Dey: And this particular margin guidance is valid for FY '27 also?

R.V. Bubna: Yes, please.

Nilabja Dey: Okay. And sir, in terms of the demand, you have clearly mention ed demand improving. So can you just give some qualitative color that from what has changed from the last 6 months, apart from the inventory, you mentioned that inventory has gone down significantly at the -- whatever people are holding. So can you just give some color? That's my only question.
R.V. Bubna: Sir, I can only say -- answer your question in a very general w ay. The demand goes up when you are able to supply the goods in time to the customers. Ther e are seasonal products and seasonal demands. So if you cannot supply the products on time, then it's a nuisance and hassle for the customer as well as the supplier. So we have been able to deliver the goods on time. And second is the quality. If you can supply goods and good quality and on right time, the demand has a natural tendency to go up.
Moderator: Our next question comes from the line of Ankur Kumar from Alpha Capital.
Ankur Kumar: Congrats for a very, very strong set of numbers. Sir, given you said, and it is already known that Q4 is our best quarter, so given such strong demand outlook, ca n we expect to close this year at say, INR5,400 crores type?
R.V. Bubna: Maybe or in the nearby range. Could be less, could be more.
Ankur Kumar: But versus -- as in because our last Q4 was INR1,800 crore, whi ch was very good year-on-year. So we expect demand growth to improve on that front -- more tha n that, right, in Q4?
R.V. Bubna: Yes, sir. Our Q4 is the best quarter because of the seasonality of the business. Q4 is always the best. And this year also, that the same trend continues.
Ankur Kumar: Got it, sir. And sir, on volume growth, you said 14% growth cam e. So we expect this type of volume growth to continue in Q4 as well as next year?
R.V. Bubna: Yes, sir.
Ankur Kumar: Got it, sir. And sir, given how USD and Euro are behaving in Ja nuary, I think we can have some FX gain also. Do you like to comment on that?
R.V. Bubna: Yes sir. You have understood our business more minutely and goo d in detail. Thank you.
Moderator: Our next question comes from the line of Deepak P oddar from Sap phire Capital.
Deepak Podd

ar: Sir, just wanted to understand, so what's the forex gain in thi rd quarter?
R.V. Bubna: Forex gain, it should be quite good. Let me see. I'll ask Mr. S hailesh to reply this question.
Shailesh Mehendale: Yes. So see, in the quarter 3, this quarter, we are having a fo rex loss of INR4.53 crores, And that is mainly on account of our foreign currency payable realignmen t.

Deepak Poddar: Okay. Understood. Understood. And I mean in terms of tax rate a lso, I think our tax rate is lower. So what should one at going ahead in terms of tax rate?
Shailesh Mehendale: Yes. I think if you look at it on an annual basis, probably it is in the range of 18% to 20%.
Deepak Poddar: Okay. And why our tax rate is lower?
Shailesh Mehendale: See, if you look at on a consolidated basis, there are certain geographies where there is less tax rate So if you look at overall basket, there is an 18% to 20% t ax for company on a consolidated basis.
Deepak Poddar: Okay. Understood. Okay. And on the growth part, I mean, nine mo nths, we have grown by about 29%. And we had, I think, earlier guided of 20% growth for the entire year. So how should one look at going forward? I mean given your fourth quarter is the strongest, so you expect this 20% -- I mean, you want to revise it upwards?
R.V. Bubna: Mr. Deepak, you must also see what is the base. The base has be en -- was always already high in the fourth quarter. So we are talking about increasing from the good growth, which we achieved last year.
Deepak Poddar: So we maintain 20% growth, right, FY '26?
R.V. Bubna: Yes. Yes, sir.
Deepak Poddar: Okay. Understood. And just 1 last thing from my side. Any new r egion you are targeting? I mean just 1 small thing last. I mean, it's the last one. In terms of export, I think we are very strong in Europe, NAFTA and LATAM, right? Any new regions we are trying t o build our presence?
R.V. Bubna: Sir, these 3 regions constitutes almost 80% of the world or 90% of the world for agriculture and agrochemicals.
Deepak Poddar: Correct. And you want to penetrate deeper in this region only.
R.V. Bubna: Yes.
Moderator: Our next question comes from the line of Vignesh Iyer from Sequ ent Investments.
Vignesh Iyer: Congratulation on great set of numbers. Sir, my first question is on the gross margin side. Sir, can you help me with the data of gross margin geography wise?
R.V. Bubna: What is your good name, sir?
Vignesh Iyer: Vignesh.
R.V. Bubna: Vignesh, again you have to be little more specific, loud and sl ow rate of speaking so that I can understand your question very well.

Vignesh Iyer: Surely sir. Sir, my question is on gross margin part of the bus iness. I wanted to understand, if you could share gross margins geography rise for Q3FY '26?
R.V. Bubna: Yes, sir. So in Agrochemicals business, Gross margin has been 4 3% in Europe region, 23.5% in NAFTA region, 29.2% in LATAM and 37% overall in the rest of the world. Overall, 35.9%.
Vignesh Iyer: Okay, sir. Sir, and my second question is on the registration p art of it. I wanted to understand the geographical breakup in terms of registration and upcoming.
R.V. Bubna: Can you repeat your question once again, sir?
Vignesh Iyer: Yes sir. So sir, my question is on the registrations -- total r egistrations that we have done. Wanted the registration breakup geograp hy-wise, Europe, NAFTA, LATAM. And also wanted to know the registrations which are upcoming that if you could give geo graphical breakup for the same.
R.V. Bubna: One minute. Give me 1 or 2 minutes. Yes. Registration wise Euro pean region 1,675, NAFTA, 321, LATAM, 760, RoW 248, total 3,004.
Vignesh Iyer: Okay. And the upcoming registrations?
R.V. Bubna: In the pipeline?
Vignesh Iyer: Yes, pipeline, yes.
R.V. Bubna: Pipeline is Europe, 698, NAFTA, 100, LATAM, 153, and rest of th e world, 125. Tot

al 1,076.
Moderator: Our next question comes from the line of Hitaindra Pradhan from Maximal Capital.
Hitaindra Pradhan: I hope I'm audible. I'm new to the sector, so please bear with me. My question is related to the China export rebate policy. They are rolling back the incentive s from April this year, and the incentives on the formulation w ill continue. Sir, I would like your reading on the impact of this policy on the prices on technicals and formulations and on your business as well.
R.V. Bubna: What is China export rebate policy?
Hitaindra Pradhan: Yes, sir. So they are rolling back the incentives from April of this year on the technicals, like they used to provide the export incentives to their technical s uppliers, which they are rolling back from this year, from April of this year. So we are expecti ng that, that will have some impact on the prices?
R.V. Bubna: Mr. Hitaindra, if you have understood China and the style of wo rking of Chinese government, you will have to understand that they are not very transparent. These informations are not made available to the public, particularly foreigners. So it's very difficult for me to comment on this. The only thing I can say that China does give some incentives t o the Chinese citizens for export. Now how much and what is their policy and what is the variation , it's very difficult to gather and it doesn't affect us. Do you understand?

Hitaindra Pradhan: Yes. Because we are on the formulation side mostly, yes, okay.
Moderator: Our next question comes from the line of Dhruv Muchhal from HDF C AMC.
Dhruv Muchhal: Sir, the Europe for us has -- Europe has done very well for us this quarter and even for nine months, even for last few quarters also. So sir, is the growth driven by getting new dealers or probably entering new geographies or adjacent regions in the Eu ropean market or a mix of both? Or -- so what's driving this?
R.V. Bubna: Sir, it's a mix of both. New dealers and getting better access to the market.
Dhruv Muchhal: So we have also expanded the geography. So for example, if you' re operating in one part of the country, we have also started op erating in other part of it. So is that also driving growth?
R.V. Bubna: Yes, that is also there.
Dhruv Muchhal: And I understand you probably will not have this. But is it pos sible to share how much is probably coming from existing dealers, which is driving growth and new dealers, which are driving growth? If it -- some degree, which can give us some mo re comfort in terms of the growth?
R.V. Bubna: Mr. Dhruv, I think I know you for the last 10 years, and I know you are very intelligent. So you already answered the question. You know more than me on this pa rt of the question.
Dhruv Muchhal: Sure, sir. And just to understand a bit on the Europe thing, is it a few molecules which are driving growth, or it is across molecule s, which is -- that we are seei ng growth?
R.V. Bubna: It is across molecules.
Dhruv Muchhal: Across molecules.
R.V. Bubna: There will be some molecules we are driving more, but then it's very difficult to differentiate.
Moderator: Our next question comes from the line of Sonal from Prescient C apital.
Sonal Minhas: This is Sonal Minhas. I hope I'm audible.

R.V. Bubna: Yes, please.
Sonal Minhas: Sir, I had a small question to ask on the working capital. We s ee that your working capital days have reduced from 98 days in December '24 to 70 days now. Just w a n t e d a s u b j e c t i v e commentary on what is it that is the company has done to reduce the inventory days? If you could give us a subjective feedback on it, that will be helpful ?
R.V. Bubna: Sir, I would say, consistent increase in the demand and confide nce of the suppliers on the credibility of Sharda Cropchem Limited. They are giving us very comfortably extended credits.

And again, the demands are increasing. So the customers are als o paying in time. And European region is known to be the most disciplined region for the quest ion of payments. They're very punctual. Sometimes they pay before time.
Sonal Minhas: Got it, sir. Got it, sir. This is helpful. Sir, second question , this quarter, the NAFTA region has de-grown for the Agrichem segment. If you could give any subjec tive commentary on what is it? Is it a one-off? Or if you could give us any guidance on wh at has happened in that region as far as demand is concerned, that will be helpful.
R.V. Bubna: Sir, there's nothing that is available to us and which is open and transparent for this reason. It has de-grown -- could be partly -- I think partly is responsibl e for the -- sorry, climate. There's been very heavy unpredictable and unusual climate conditions th at has affected the demand.
Moderator: Our next question comes from the line of Rushil Selarka from PI NC Wealth.
Rushil Selarka: Yes. Sir, my question is that regarding -- just wanted your tho ught process on the -- recently India, we have signed a FTA India EU trade deal has happened. S o how this can benefit to our company or the sector, if you can just give some -- your view o n it?
R.V. Bubna: Sir, what I have seen about this treaty, there is no mention of agrochemicals anywhere. They're talking about cars and this thing , import of cars into India an d all those things, which are totally unconnected with our business model. As far as agrochemicals ar e concerned, I don't think there is any mention or any impact on the either tariffs or any other things. So our business remains as usual, and it's growing.
Moderator: Next, we have a follow-up question from Anubhav Mukherjee from Prescient Capital.
Anubhav Mukherjee: Sir, just one question. Sir, compared to like pre-COVID levels, currently, like price realizations, how much are they still down compared to those levels? If you c ould share some comments.
R.V. Bubna: They are quite down. They are quite down compared to the pre-CO VID levels.
Anubhav Mukherjee: And is it like some geographies are more affected or is it like similar across geographies?
R.V. Bubna: Sir, you're asking a very difficult question. And we don't go i nto so many details. We just face the situation as it comes, but w e don't sit down and then analy ze what geography and all that. In general, the price levels are low, pre-COVID level prices were very high. But again, the costs have also -- our sourcing costs have also gone down considerabl y. So in terms of percentage, we are better off than pre-COVID lev el, better margins of Sharda.
Anubhav Mukherjee: And sir, on the procurement cost from China, that you are seein g at stable levels? Or is there some inflation happening there as well?
R.V. Bubna: No, there is a slight, I mean, improvement time to time. The pr ices are going up, sourcing as well as selling prices. And marg ins are improving as far as Sha rda is concerned.

Moderator: Our next question comes from the line of Ankur Kumar from Alpha Capital.
Ankur Kumar: Sir, recently, there was a news article that China is looking t o tighten agriculture and chemical exports. So are we able to source effectively easily from China or is there any issue on that front?
R.V. Bubna: S i r , I ' m h e a r i n g f o r t h e f i r s t t i m e f r o m y o u t h a t t h e y ' r e t r y i n g to tighten their agrochemical sources. As far as we are concer ned, we are not impacted at all .
Ankur Kumar: Nice to know that. Sir, on -- as in, again, harping on the same question, Q4 things are looking like 18%, 20% growth can come in Q4 also? Or how are we thinkin g? And pricing, if you can comment, how much is it improving maybe year-on-year on trend?
R.V. Bubna: Sir, you have put the question first and then also answered. I' m repeating

, we expect the same growth in Q4 also.
Ankur Kumar: Both in volume and pricing?
R.V. Bubna: Yes.
Moderator: Our next question comes from the line of Vivek Rathi, an Indivi dual Investor.
Vivek Rathi: Congratulations on good set of numbers. Sir, a simple follow-up question on the -- I think the

previous participant asked on the European...
Moderator: Sorry to interrupt. Mr. Rathi, can you please speak a little lo uder?
Vivek Rathi: Okay. Am I audible now?
R.V. Bubna: Yes, you are audible, but you are speaking very fast. You have to also speak slowly and put more energy into your wo rds. Slowly and loudly.
Vivek Rathi: Okay, sure. So my question was in continuation to previous part icipants who asked on the European thing, that it is not going to impact. So just wanted to understand because from previous calls, I remember you said we still source maximum or almost 100% of our supplies from China. So are we looking at anything -- I mean, anything c hanging with this or hedging our resources and getting some supplies from India or some othe r country or still we are completely reliant on China?
R.V. Bubna: Mr. Rathi, I have not understood your question very clearly, bu t what I have understood, you are probably asking whether we are sourcing -- we are also look ing for sourcing from India and China and all that. Am I right?
Vivek Rathi: Yes. Yes, multiple countries because I thought maximum was from China?
R.V. Bubna: No, Mr. Rathi, again, I think you are not exposed to the agroch emical business very well and in detail. I've explained many time s that registration is very cri tical and when the authority register

the product, they not only registered the product, but also the manufacturing plant from where we are sourcing. It is a condition that registrant can source i t only from the plant, which has been exposed for the purpose of registration.
We cannot change the manufacturer. So we have to buy it only f rom the same source. We are given a freedom to add another supporting manufacturer. So as f ar as Sharda is concerned, we are having at least 3 or 4 manufacturers for the same product a nd for the same registrations, which gives us a flexibility, and we are not exploited by the m anufacturer.
But I cannot have a choice that I can source one product from India and next time I source from China and all that. And we have very little sources -- register ed sources from In dia. Majority of our registered resources are from China. Have I answered your q uestion sir?
Vivek Rathi: Yes. Thanks a lot and sorry for confusing.
Moderator: Our next question comes from the line of Sachin Kasera from Sva n Investment Managers.
Sachin Kasera: Congratulations on delivering a very strong set of numbers. I h ad just one question. We are already sitting on a very good amount of cash on hand. And goin g by the strong outlook we are talking of, I think the cash in t he balance sheet is going to i ncrease further. So are you looking at some acquisitions or we will look at increasing the dividend payout because the very high cash on the balance sheet is then going to start impacting our return on capital employed?
R.V. Bubna: Sir, we have already started looking into the line that you hav e suggested. We are looking into increasing the dividend, but we are not looking into the acquis itions. We have declared a very good dividend for this quarter yesterday.
Moderator: Our next question comes from the line of Pratik Patel from Coun ter Cyclical Investments.
Pratik Patel: Sir, our sales from top 10 dealers in the last year was somethi ng around 16% to 17%. So is that similar to that number this year as well?
R.V. Bubna: Mr. Pratik, again, I'm sorry, I have not understand your questi on. Again, I request you to speak slowly and loudly.
Pratik Patel: So my question was, last year, our top -- revenue from top 10 d ealers and distributi

ons was
something around 16% to 17%. So that number -- in current year also, it's near above that percentage?
R.V. Bubna: Yes, it will be more or less, near about that.
Pratik Patel: Okay. And sir, can you show some highlights on the top 10 produ cts revenue share? Means what will be the top 10 product s share in our revenue?
R.V. Bubna: One minute. Our top 10 product sh are in revenue is about 43% in this year.

Pratik Patel: 43%, for this year.
R.V. Bubna: 43%.
Pratik Patel: 43%. Okay. Great. And sir, you have said that for the current q uarter, the product registration for Europe is 698, which last quarter was something around 710. So this quarter, we have got approval of something around 12 products in Europe. So is that correct? My understanding is correct?

R.V. Bubna: No, 698 is what do you call? I'll ask Mr. Shailesh to reply thi s question. Shailesh will reply this question.

Shailesh Mehendale: Yes. So can you repeat your question about the Europe registrat ion?

Pratik Patel: So last quarter, the number for registration in Europe was some thing around 710, which has been reduced to this quarter at 698, if I'm not mistaken. So my unde rstanding is correct that 12 products, we have received approvals in this quarter for the Eu rope registration?

Shailesh Mehendale: Correct. You're right.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Shailesh Mehendale: Yes. Thank you, everyone, for joining us. I hope we have been a ble to answer all your queries. We look forward to such interaction in the future. We hope to m eet your expectations in the future too. In case you require any further details, you may co ntact us or SGA, our Investor Relations partners. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that con cludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

19th May, 2026

To,

National Stock Exchange of India
Limited
Exchange Plaza, 5th Floor, Plot No.
C/1,
G-Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Tradin
g Symbol: SHARDACROPBSE Limited
Phiroze Jeejeebhoi Tower,
Dalal Street, Mumbai – 400 001

Scrip Code: 538666

Subject: Disclosure under Regulation 30 of the SEBI (Listing Ob ligations and Disclosure Requirements) Regulations, 2015 – Transcript of Earn ings Call Q4 FY 2025-26.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations), ple ase find enclosed transcript for the conference c all with the Analysts / Investor s for the Q4 FY 2025-26 financial results of the Company conducted through digital mean s on Thursday, 14th May, 2026 at 01.00 P.M. (IST).

Transcript is also available on the website of the Company at www.shardacropchem.com .

We request you to take the same on record.

Yours Sincerely,

Jetkin Gudhka
Company Secretary &
Compliance Officer

Encl: As above

"Sharda Cropchem Limite d Q4 FY26 Earnings
Conference Call

May 14, 2026

MANAGEMENT : M R. R. V. BUBNA – CHAIRMAN & MANAGING
DIRECTOR , SHARDA CROPCHEM LIMITED

MR. SHAILESH MEHENDALE – CHIEF FINANCIAL
OFFICER , SHARDA CROPCHEM LIMITED
MR. JETKIN GUDHKA – COMPANY SECRETARY ,
SHARDA CROPCHEM LIMITED
MODERATOR : M R. RIJU DALUI – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Sharda Cropchem L td Q4 FY26 Earnings Conference Call hosted by Antique Stock Broking Limited.
As a reminder all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need any assistance during the conference call, please signal an operator by pressing '*' t h e n ' 0 ' o n y o u r t o u c h t o n e telephone. Participants, please note that this conference is be ing recorded.
I now hand the conference over to Mr. Riju Dalui from Antique S tock Broking Limited. Thank you and over to you, sir.
Riju Dalui: Thank you, Farah. Welcome to all the participants on Q4 and FY 26 Earnings Call of Sharda Cropchem. Today, we have Mr. R. V. Bubna – Chairman and Managin g Director, Mr. Shailesh Mehendale – CFO and Mr. Jetkin Gudhka – Company Secretary on th e call.
Without any delay, I would like to handover the call to Mr. Bub na for his opening remarks.
Thank you and over to you, sir.
R.V. Bubna: Thank you, Mr. Dalui. Good afternoon and a very warm welcome to everyone present on this call. Along with me, I have Mr. Shailesh Mehendale – our CFO, a nd Mr. Jetkin Gudhka – our Company Secretary and SGA; our Investor Relations Advisors. Hop e you all have received our investor deck by now.
Ladies and gentlemen, I am very pleased to share that FY 2025-2 6 has been by every measure the best year in Sharda Cropchem's history as a listed company. Despite the global headwinds from tariffs and the recent war, we have delivered our best-eve r annual PAT, our highest-ever EBITDA, and our strongest-ever revenue performance. And this ha s been achieved with consistent discipline, quarter after quarter, through a year th at presented both opportunities and challenges for the global agrochemical industry. The company ex pects this growth momentum to continue in FY2027. Our performance is the result of years o f patient investment in product registrations, a clear and focused business model, and the conf idence that our customers and suppliers continue to place with Sharda Cropchem. I thank each member of our team for their dedication and each of you for this call for your continued int erest and trust.
As you are aware, we are engaged in the marketing and distribut ion of a wide range of agrochemical products, catering to a diverse global customer ba se. We develop comprehensive dossiers and obtain product registrations in our own name. We c ontinue to allocate substantial resources towards securing registrations, which strengthens our market presence and helps establish a sustainable foothold across the markets. As on Marc h 31st, 2026, our total product registration stood at 3,011. Additionally, 1,004 applications o f product registrations globally are in the pipeline.

Coming to the industry dynamics:
A global agrochemical market is showing signs of recovery drive n by revival in demand complemented by gradual recovery in the pricing. Inventories ha ve come to normal levels across distribution channels. In Q4 '26, our total revenues have grown by 13% to INR 2,065 crores, with annual volume growth at 4%. We have seen volume growth in Europe and LATAM emerging as key contributors.
Volume from agrochemical segment grew by 5% and non-agrochemica l segment de-grew by 2% year-on-year basis. Our gross margins have expanded by 750 b asis points to 37.3%. As guided earlier, we expect the gr oss margins to be in similar ra nge in FY27. EBITDA for the quarter stood at INR 513 crores, which is a growth of 75% on a Y-to-Y basis with margins of 24.8%. For FY27, we are on track to maintain healthy EBITDA mar gins in the range of 18% to 20%. PAT for the quarter stood at INR 319 crores, showcasing a growth of 57% year-to-year basis. Working capital day

s stood at 98 days as on 31st March 2026, showing an improvement by 20 days as compared to March, 2025. CAPEX for FY26 stood at INR 505 crores. Looking at the performance, the Board of Directors have recommended a fina l dividend of INR 9 per equity share, along with the interim dividend of INR 6 per equity shar e, paid in December, 2025. The total dividend for FY26 is aggregated to INR 15 per share.

With this brief overview, I now like to handover the call to ou r CFO – Mr. Shailesh Mehendale
for discussing our financial performance. Thank you everybody. Thank you once again.
Shailesh Mehendale: Good afternoon, everyone.
Coming to Q4 FY26 performance:
Revenues stood at INR 2,065 crores in Q4 FY26 versus INR 1,829 crores in Q4 FY25, with an increase of 13% year-on-year.
Coming to the split:
Agrochemical business grew by 14% to INR 1,927 crores, whereas non-agrochemical business grew by 0.3% year-on-year to INR 138 crores. Gross margins stoo d at 37.3% in Q4 FY26 as against 29.8% in Q4 FY25, with an increase of 750 basis points. EBITDA grew by 75%, which stood at INR 513 crores, with EBITDA margin at 25%. PAT stood a t INR 319 crores versus INR 204 crores last year, showing a 57% growth year-on-year bas is.
Coming to the full-year Financial Year ‘26 performance:
Revenues stood at INR 5,268 crores in FY26 versus INR 4,320 cro res in FY25, with an increase of 22% year-on-year basis.

Coming to the split:
Agrochemical business grew by 25% year-on-year to INR 4,717 cro res, whereas non-agrochemical business grew by 1% year-on-year to INR 551 crores . Gross margins stood at 35.9% in FY26 as against 29.9% in FY25, with an increase of 600 basis points. EBITDA for FY26 stood at INR 1,040 crores, with EBITDA margin at 19.7%, sh owcasing 69% year-on-year growth. PAT stood at INR 681 crores in FY26 versus INR 304 cror es in FY25, with an increase of 124% year-on-year basis. We r emain debt-free co mpany and hav e cash-bank liquid investment of INR 702 crores as on 31st March 2026.
We can now open the floor for question and answers. Thank you.
Moderator: Thank you very much sir. Ladies and gentlemen, we will now beg in with the question-and-answer session. The first question is from the line of Anubhav Mukherjee from Prescient Capital. Please go ahead.
Anubhav Mukherjee: Sir, thanks for the opportunity and congrats for the great resu lt. My first question is that for the current quarter, the revenue growth was 13% and volume growth w as 4.3%, can you please share what was the contribution of Forex and realization year-on-year for the current quarter?
R.V. Bubna: Mr. Mukherjee, your first sentence was clear and loud, but seco nd and third sentences have become very dim. So, can you repeat the second and third senten ces of once again?
Anubhav Mukherjee: I was asking that for the curren t quarter, Q4 FY26, the volume growth was 4.3% and revenue growth was 13%. Can you share the contribution of realization i ncrease and Forex year-on-year for the current quarter?
R.V. Bubna: Yes, sir., the volume growth for the Q4 FY26 was (+4.3%). FOREX impact was (+11.7%). Price and product mix impact was (- 3.0%). Total growth was (+ 2.9%). Thank you.
Anubhav Mukherjee: Thanks, sir. And can you please share the same for the entire f inancial year?
R.V. Bubna: Yes, please. For the entire financial year, the volume growth w a s 1 3 . 4 % . F X i m p a c t w a s (+10.3%). Price and product mix impact was (-1.8%). And total growth was 21.9%.
Anubhav Mukherjee: Thanks for the information. We have been hearing that prices of agrochemicals from China have been witnessing a major spike since the war broke out in Middle East. So, are we also witnessing a major increase in our procurement price from China?
R.V. Bubna: No, sir. I would clarify; there is no major increase. There cou ld be a small increase in some products, but it is not an overa

ll trend up to now.

Anubhav Mukherjee: And the realization and product impact was negative as you ment ioned for the current quarter. Can you please share what are you witnessing in terms of price realization in your major markets like LATAM and NAFTA and Europe?
R.V. Bubna: There is nothing to worry. The prices have been stable and ther e has been a slight increase in the prices.
Anubhav Mukherjee: I get that. And can you please share the guidance for the reven ue growth for the like FY27 and also specifically for each of the regions?
R.V. Bubna: See, each of the regions, it will be not proper for me to elabo rate because it all depends on many factors which are not in anybody's control, particularly weathe r and the current war situation and all those things. But I can say for the FY27, we expect the rev enue to grow about 10% to 15%, gross margins to stay around 35% plus or minus a few%, and EBIT DA will be 18% to 20%.
Moderator: Thank you. The next question is from the line of Disha from Sap phire Capital. Please go ahead.

Disha: Congratulations, for a great set of numbers despite the challen ging geopolitical environment. So, my question was again on the margin as we guided for gross marg ins to be around 35% and EBITDA of 18% to 20%. So, what is giving us the confidence of b eing able to sustain the margin in the back of such volatile environment? And any raw material price increase, will we be able to pass this on completely to cu stomers? If you could just elab orate a bit more on that, that will be really helpful.
R.V. Bubna: Madam. Can you repeat your questions one by one?
Disha: Firstly, if you could just highlight what is giving us this con fidence of being able to maintain high margins in such volatile environment?
R.V. Bubna: Madam, our feel of the market, our communications with our cust omers on a regular basis and the general situation, that gives us this confidence.
Disha: And this raw material price hike, will we be able to completely pass this on to the customers? What is the situation there?
R.V. Bubna: Normally, we are able to pass because the competition is limite d. We are not dealing with products which are freely tradable and registration process is very expensive and time consuming and not very interesting to most of the investors. So, the comp etition is also limited for the agrochemical products, particularly in developed markets and th at gives us a confidence. And so far, it has been our experience, 80% to 90%, we have been ab le to pass the price increase of the raw materials and the customers have very gracefully accept ed it. Unless there is a unique situation where there is a lot of products in the pipeline and in the sort of storage, those are only

special, but in the normal cases, most of the price increases w e are able to pass on to our customers.
Disha: That is great to know. So, and the next thing was on our revenu e growth. So, in our interview on television, we mentioned this year we are targeting 18% to 20% sort of growth and right now you just mentioned that we are targeting 10% to 15%. So, is thi s, are we being too conservative? How should we look at that?
R.V. Bubna: If I have said 18% to 20%, then maybe I have misstated it. I wo uld say it will be 10% to 15%. I was talking about EBITDA, the 18% to 20% was EBITDA and not the revenue growth.
Disha: So, 10% to 15% is what we should work with, right?
R.V. Bubna: Yes.
Disha: And just the last question, I was looking at the segmental brea kups. In the agrochemical sector, particularly in the NAFTA, I think we have seen some revenue de growth by 6%. So, what was the cause for that?
R.V. Bubna: No specific cause. It could be based on the weather conditions and the economic situations in the United States.
Disha: But no major challenge as such?
R.V. Bubna: No.
Disha: That is

it from my side. Thank you so much and all the best.
R.V. Bubna: Thank you.
Moderator: Thank you. The next question is from the line of Rajat Setiya f rom ithought PMS. Please go ahead.
Rajat Setiya: Thanks. So, my first question is about the gross margins. So, i f we remove the impact of Forex volatility, what would be the gross margins for the company for the whole year?
R.V. Bubna: Sir, I have stated it will be around 35%. It could be 36%-37% o r it could be 34%.
Rajat Setiya: Oh, no, sir. Sorry. I didn't mean for the next year guidance. L ike this year, we have reported 36% gross margins and a lot of contribution from Forex exchange mov ement as well. So, I am just wondering if we strip off the Fo rex movement from the numbers, what will be the gross margins?
R.V. Bubna: This will require some calculations, which I am not ready durin g this phone call.

Rajat Setiya: Sure, I understand. So, is it possible to touch base on this po int later on through the investor relations team or by any other means?
R.V. Bubna: Yes, it is possible.
Rajat Setiya: Thank you. I will touch base on this later on. And what were th e gross margins in Europe in this quarter as well as the full year?
R.V. Bubna: The gross margins in Europe was 41.5% in this quarter and the w hole year, it was also 42.5%.
Rajat Setiya: Thank you, sir. And what was the volume growth in Europe in FY2 6, full year?
R.V. Bubna: Volume growth was about 16%.
Rajat Sethia: And in terms of the outlook for next year for Europe, do you se e similar growth?

R.V. Bubna: Yes. No, we see the similar.
Rajat Setiya: Understood. One question about the Forex losses that we reporte d in Q4. So, if we look at the USD/EURO movement during the last quarter, it was pretty much i n a very tight range of 1.15 to 1.7 and yet we reported 26 crores of FOREX losses. So, I was just confused or if you can help us understand, despite such a tight movement between USD and Eu ro, there were still losses on Forex side.
R.V. Bubna: I would request Mr. Shailesh Mehe ndale; our CFO, to answer this question.
Shailesh Mehendale: So, this particular Forex loss w hich is reported in Q4 is mainl y on account of unrealized Forex loss on the realignment of foreign currency payables. So, this is unrealized loss which is accounted.
R.V. Bubna: Mr. Rajat, I will elaborate here . These losses are calculated f or the exchange rate which is there on the last day of the quarter. This does not reflect the total trend. The last day, there could be many reasons and that becomes the key factor. After two days, t he situation may change if the dollar-euro exchange rate changes. So, all this is unrealized l o s s . I t i s n o t a c t u a l l o s s . Understood?
Rajat Setiya: Got it sir. Thank you. And what was sales return during full ye ar?
R.V. Bubna: Sales return was not very significant. I am not ready with this information because it was not so significant.
Rajat Sethia: Sure. And if you can help us understand known Agro Chemical seg ment level, the whole year we grew by probably 1% or so. So, what is happening in that seg ment?

R.V. Bubna: We will give chance to some other speaker. You had many questio ns. And please wait in the queue for the next round.
Rajat Sethia: Sure, sir.
Moderator: Thank you. The next question is from the line of Riju Dalui fro m Antique Stock Broking. Please go ahead, sir.
Riju Dalui: Hi sir. So, my question regarding your top-line revenue growth. So, we are heading to the top-line growth. But if you look at some of the technical prices…
R.V. Bubna: Mr. Dalui, can you please speak?. Slowly and loudly.
Riju Dalui: My question regarding the top-line growth guidance for FY27 tha t we are guiding 10% to 15% kind of a top-line growth. But if you look at in terms of pre-p rices for the Agro-chemicals, prices of Agro-chemi

cals increased by 10% to 15% on a sequential basis . So, are we expecting only price-led growth and volume growth will be lower? How are we gu iding 10% to 15% top-line growth? So, that I wanted to understand.
R.V. Bubna: Mr. Dalui, I am not doing all these detailed calculations. I ha ve given you my impression and the feelings that we have about the financial year 2027. All th ese are just impressions. They can change. And this is just my impression as on today.
Riju Dalui: Understood. And one question for Shailesh ji. So, how much tax rate you can work for ‘27 and ‘28? Because if I look at last 2 years tax rate as a % of our P BT, that was roughly 20%. So, now how much we can work with?
Shailesh Mehendale: So, the effective tax rate could be between 18% to 20% because globally we are having different tax rates applied.
Riju Dalui: Thank you, sir. That's all from my end.
Moderator: Thank you. The next question is from the line of Vivek Gautam f rom GS Investment. Please go ahead.
Vivek Gautam: Congratulations on a very good set of numbers, sir. My question is, ours is an IP led business with registrations, ge tting registration is not that easy. But still, sort of trading, we are getting being treated like a trading company and how to counter that an d that has been a very hard work of yours for the last so many years so that we have been able t o reach to this level. So, how can you counter that impression that it's not a trading company, it 's an IP led moated business and this the first question.

R.V. Bubna: Sir, who has said that we are a trading company? My always stat ement that we are a marketing company. And for this marketing, registration is the most impor tant and very strong requirement to market the products. And we are not doing trading that buyin g a few kilograms here and there and selling and all that. We are only selling. We are buying fr om our regular suppliers and selling to our regular customers.
Vivek Gautam: I agree with that. And the numbers also show that ours is a zer o-debt company, good cash, good ROCE. But somehow, a perception is there. So, I just wanted to ask about how to change the

perception. That is most important. And second thing...
R.V. Bubna: You put this question to the people who are having the percepti ons . W e are no t having th at perception.
Vivek Gautam: Second thing was about this inventory write-off which we had in 2022. So, what have been the learning from that and how can we be able to counter it? So, be cause ours is an asset light model for inventory, which we will have to carry on or sort of this t ime we have learned the lessons and it will not be that severe as in 2022.
R.V. Bubna: Mr. Vivek, I do not know whether you have heard that inventory situation was no t created or caused by any steps by Sharda Cropchem. This was created by the lot of players in the market who had seen a big scarcity of products during the COVID times. So, when that, the hunger for sourcing the products continued and it got extended very long. So, everybody wanted to buy whatever was available and the manufacturers had also increased their capacity. So, they were able to deliver and supply as much as the people wanted. It was only after some quarters or months, the market realized that there is a lot of products in the pipeline and in warehouses. So, it was not any step done by an individual company like Sharda C ropchem. We were only facing the situation, but we were not having any contribution to the c ause of the situation. Understood?
Vivek Gautam: Correct, sir. And that is the future is looking quite good for us and I believe our numbers are quite good and future is also all the best for the thing, sir. Thank you very much.
R.V. Bubna: Thank you, sir.
Moderator: Thank you. The next question is f rom the line of Madhu Agrawal from Agrawal family office. Please go ahead.
Madhu Agrawa

l: Hi, Mr. Bubna. I have a couple of questions. One is on the inve ntory increase or the inventory normalization that we have seen. Do we have a sense of whether this is restocking or it is sell through demand to the end market?
R.V. Bubna: Madam, I would only comment that today the inventory situation is absolutely under control and very well managed.

Madhu Agrawal: And my other one is we have about 1,000 molecules currently und er application. Are there any that we are expecting to come through in this financial year?
R.V. Bubna: Your question is very general and my reply is yes. We are expec ting many registrations to come in this financial year. But I have been repeating that the proc ess of registration is full of uncertainties. Nobody can plan and calculate that I am going to get this registration in this month or this year. Because the requirements of the authorities keep on changing and the process of registration also requires a lot of field trials and field tria ls have to be repeated. So, these are all dependent upon the weather conditions and controlled by the bur eaucracies in every country that we want to register the product and the bureaucracies are reall y bureaucratic. Sometimes they meet, I mean, they are supposed to meet once in a quarter, some times they do not meet for two-three quarters. So, that is affecting the space and speed of th e registration for which we have no control and that is not the highe st priority thing for the bure aucrats. Am I clear?
Madhu Agrawal: Sure, I understand that. So, then the 10% to 15% top-line growt h that we are guiding is not assuming any new molecules, right? It is assuming our current p roduct portfolio only.
R.V. Bubna: No, your statement is not correct. I have not said that we do n ot expect any registrations in the current year. I have said I cannot tell you precisely how many, but we are definitely going to get registrations during this year and we are very optimistic about getting good amount of registrations in the current financial year for financial year 2027.
Madhu Agrawal: Understood. So, the top-line growth then assumes a certain numb er of registrations will come through. We do not know how many, but it assumes current portfo lio and new registrations. My understanding is correct now.
R.V. Bubna: . The top-line growth is not fully dependent upon the registr ations that we get. This only changes the needs and requirements and other economic factors, but not the growth because the agriculture remains the same and agriculture needs agrochemical s as well as fertilizers. You understand? And they keep on increasing because of the increase in the population of the world and need of agricultural products. Understood?
Madhu Agrawal: Sure. I think that is all for now. Thank you.
R.V. Bubna: Thank you.
Moderator: Thank you. We will move on to the next question. It is from the line of Rohit Nagraj from 360 One Capital. Please go ahead.
Rohit Nagraj: Thanks for the opportunity and congrats on a very strong set of numbers. So, first question is on China sourcing. So, post the war, have we seen any challenges i n terms of availability of material in China and that, I mean, in the last say 2-2.5 months? Thank you.

R.V. Bubna: No, sir. There are no challenges in the sourcing of the product s in view of this war or the current situation. Only thing is there i s an uncertainty in the minds o f the people and that what will happen if this happens or that happens. But that has not impact ed the supplies till date. And nobody can predict what turn the war will take after one week o r after 1 month or after 6 months. Nobody can predict. A lot of uncertainty is there about the war and I am very positive that there will always be a solution rather than things going so much out of control.
Rohit Nagraj: Got that, s

ir. The second question is in terms of logistic avai lability, have we seen any delays of shipments from China to any geography and the higher logistic c ost, will we be completely transferring that to our product incrementally? Thank you.
R.V. Bubna: What was your first question, Mr. Rohit?
Rohit Nagraj: In terms of logistics, have we seen any delays or non-availabil ity of ships from transportation perspective from China to any geographies?
R.V. Bubna: S e e , I w o u l d s a y t h a t t h e d e l a y s h a v e b e e n t h e r e b u t v e r y i n s i g nificant, not impacting or jeopardizing our sourcing or transport. Similarly, there have b een a slight increase in the transport cost but that is very insignificant. And particularly for our business and for Sharda Cropchem, none of the transportation is going through the Hormu z and Iran and Iraq area. They are going through South of Africa. So, there is an increase in the time of the transportation but otherwise things are under control and very normal.
Rohit Nagraj: Got that, sir. Thanks for answer ing all the questions and all t he best, sir.
R.V. Bubna: Thank you.
Moderator: Thank you. The next question is from the line of Vedant from Ma s Investments. Please go ahead.
Vedant: Hi, sir. In the Q3 call, you gave guidance for FY27, where you mentioned that 15% volume growth is achievable. So, the current guidance you have given 1 0% to 15%, is it the volume growth that you have given?
R.V. Bubna: I have not said that volume will be 15%. I have said that busin ess will grow by 10% to 15%. Revenue will grow by 10% to 15%.
Vedant: So, this includes volume plus price growth?
R.V. Bubna: Yes.
Vedant: Because I was recollecting from the Q3 call where you mentioned 15% volume growth is achievable. So, wanted to clarify on that.

R.V. Bubna: I am very happy that you are reme mbering these questions. I am very happy. Thank you.
Vedant: Thank you, sir.
Moderator: Thank you. The next question is from the line of Khush Bafna fr om Bafna Brothers. Please go ahead.
Khush Bafna: Good afternoon, sir. And congratulations on a great set of num bers. Sorry, I am coming back to this point, but I had attended the previous call after Q3 and o ne Mr. Anubhav Mukherjee, if I remember the name right, had asked guidance for FY27 revenue an d you had mentioned 15% to 20% that time. I just rechecked the transcript and I saw that. So, that guidance is being changed now to 10% to 15%, right? I ju st wanted to confirm that.
R.V. Bubna: I do not remember. I mean, maybe last time I said 15% to 20%, b ut today for the coming year, my feeling is that it will be abo ut 10% to 15%. It could go up and we will not stop if it goes up.
Khush Bafna: Right, sir. Thank you. All the best.
Moderator: Thank you. The next question is from the line of Vijay Yadhav. Please go ahead.
Vijay Yadhav: What would be the volume growth for FY27?
R.V. Bubna: I can only project. I do not have detailed calculations to tell you what will be. It should be around 15%.
Vijay Yadhav: Volume growth?
R.V. Bubna: Volume growth, yes.
Vijay Yadhav: So, that means when the revenue goes by 10% to 15% and the volu me is growing by 15%, that means there is a drop in realization?
R.V. Bubna: I cannot comment on that. I have just given you an impression.
Vijay Yadhav: So, you are not expecting any Forex impacts in the next year?
R.V. Bubna: I h a v e n e v e r s a i d s o . T h i s F o r e x i m p a c t i s n o t u n d e r m y c o n t r o l . We only have to face the situation and handle it as and when the situation unfolds in fr ont of us.
Vijay Yadhav: But this 10% to 15% is on the lower side or that is our best ch ance?
R.V. Bubna: I have said 10% to 15% but I have also said it can go up and it can also go down depending upon a lot of factors which w e cannot foresee today.

Vijay Yadhav: Thank you so much.
Moderator: Thank you. The next question is from the line of Anubhav Mukher jee, Prescient Capital. Please go ahead.
Anubhav Mukherjee: Sir, thanks for the follow-up opportunity. The strong revenue g rowth that the company has shown in the last 2 years, have we benefited from any generic f or any agrochemical that has gone off patent in the last 2 y ears in North America or Europe?
R.V. Bubna: See, I think there are some products which have gone off-patent . This is a normal trend in the market. Some products go off patent and some products go even b anned and new products come in with new registrations. So, th is is a normal process. There is nothing very specific or very sort of controlling that I can point out to you. This is an absolute ly normal process.
Anubhav Mukherjee: And will it be possible to share the contribution of like top 5 or 10 products to our revenue?
R.V. Bubna: I think it would be possible. See, I would say top 5, the con tribution is about 22%. But I think it could be more.
Anubhav Mukherjee: And the contribution has remained in the same range over the la st 2-3 years or have we seen like some particular molecule like c ontributing a lot or growing mor e?
R.V. Bubna: Mr. Mukherjee, this is a busines s. So, the contribution keeps o n going up and down from product to product, depending upon supply and demand and many other fac tors. I cannot say specifically that this is because of this factor.
Anubhav Mukherjee: Thanks, sir. I will get back in the queue.
R.V. Bubna: Thank you.
Moderator: Thank you. Next question is fro m the line of Rajat Setiya from ithought PMS. Please go ahead.
Rajat Setiya: Thanks. What would be the revenue from new products that we wou ld have launched in the last 3 years?
R.V. Bubna: What did you say? New products in the last 3 years?
Rajat Setiya: Yes. The revenue from those produ cts, let's say last 3-4 years.
R.V. Bubna: I can make a guess. It could be about 30%.

Rajat Setiya: Sure, sir. And if you can also share the region-wise, you have shared gross margins in Europe. If you can also share gross margi ns in other geographies for th e quarter as well as for the whole year?
R.V. Bubna: Yes, sir. Now, I have given you the figures for Europe. Gross m argin in NAFTA region was 28% in the Q4 and 25% for the year 2025-26. For LATAM, it was 2 8% and 25%. Rest of the world, it was 46% and 43%.
Rajat Setiya: And Europe for the full year?
R.V. Bubna: Europe for the full year was 42%-42.5%. Approximately, 42%.
Rajat Setiya: Right. And sir, if you can also talk about the non-agrochemical segment a little bit, how are you seeing the outlook now? Last year was pretty flat in terms of o ur volume growth or the overall revenue growth, business growth.
R.V. Bubna: Yes, I would say we should be able to grow about 5% to 10%.
Rajat Setiya: And how is the pricing scenario there or the margin overall? Ho w are you seeing?
R.V. Bubna: The margins have improved in the last year compared to previous years.
Rajat Setiya: And the reason would be our product mix or the pricing scenario has changed?
R.V. Bubna: Reason for which, you mean Agro or non-Agro?
Rajat Setiya: For margin improvement. Non-Agro margin improvement.
R.V. Bubna: See, non-Agro is a special kind of business. I mean, we are not stocking and selling. Every time the customer gives us a requirement, it's a specific requiremen t for every customer, depending upon the specification, width, length, and content of the conve yor belts. So, after we receive an order, we conclude the order, we get quotations, and then we st art manufacturing. Goods are manufactured…what I am saying, unlike agrochemicals, the convey or belt business is goods getting manufactured to the specific requirement of the custome rs. You understand? So, the goods are manufactured after the specificatio

ns are concluded a nd finalized.
Rajat Setiya: Sure. So, you mean it's a customized product?
R.V. Bubna: It's made to order, not already made and then supplied.
Rajat Setiya: Sure. So, sir, what led to margin improvement? I was not able t o understand that part.
R.V. Bubna: See, what did you say? Margin improvement.

Rajat Setiya: Yes, what is driving the improvement in margin?

R.V. Bubna: Because now we are seeing the trend that we are having very goo d demands, more requirements, and we are able to improve the margins because the demand is al so improving.

Rajat Setiya: Got it. And over the next 2-3 years, what is the kind of opport unity that exists from the products which are going off patent and are we registering for such prod ucts?

R.V. Bubna: Mr. Setiya, this process is not done by us. We are only seeing our innovators, our gurus who invent the products. They are planning much ahead in advance. S o, they are doing all the R&D and developing the products and then they also have an exposure of selling those products under patent for the first 10 years. Our role comes only thereafter. So, we choose and select from what is available to us and what is presented to us by the innovator s.

Rajat Setiya: Right. Yes, that is what my question was like. What is the oppo rtunity you see from these products going off patent in the next 2-3 years?

R.V. Bubna: Now, some products will continue to go off patent because as th e technology is developing, some products which have been used in the past, they also have some weaknesses, some side effects on the health or climate and so many things. So, innova tors try to find out the products similar to them but without those weaknesses.

Moderator: Thank you. The next question is from the line of Vivek Gautam f rom GS Investment. Please go ahead.

Vivek Gautam: I just wanted to understand are the tailwinds for the agricultu re and Agro-chem sector back as much better than past? And so, it is helping us and companies l ike us, for example Ukraine war any impact? I think because Ukraine used to be the granatry of the world and the Europe.

R.V. Bubna: You will be very much surprised, Mr. Vivek. We continued, we ha ve been supplying our goods to Ukraine for the last 5 years, even now. They are buying from u s , t h e i r p o r t s h a v e b e e n destroyed, the goods are getting transported to European ports and from European ports, the trucks come from Ukraine and pick up the goods. We are paying f or the cost and then we are able to pass it on to our customers. But our business in Ukrain e is going on. We are getting orders on time and we are getting payments on time. This is a v ery big surprise to the world. But this is what is happening in Agro Chemical business. People nee d food and they need also Agro-chemicals. And I have not heard in the war that some agricultur al fields have got destroyed or damaged. They damaged a lot of other things, but not the agricu ltural fields.

Vivek Gautam: Other than Ukraine also the same situation is prevailing in Wes tern Europe and US market in NAFTA and Brazil.

R.V. Bubna: Yes. We are also supplying our goods to Israel, to give you a r eply. We are also selling to Israel.

Vivek Gautam: So, payments are quite strong for our sector, for agriculture a nd for Agro-chemicals worldwide.

R.V. Bubna: Yes, sir.

Vivek Gautam: That is the key reason.

R.V. Bubna: As the world population is increasing, the demand of Agro Chemi cal products is also, agricultural products is also increasing.

Vivek Gautam: Correct, sir. Thank you.

Moderator: Thank you. The next question is from the line of Samir Deshpand e from Fairdeal Investments. Please go ahead.

Sameer Deshpande: Thank you for the opportunity. Bubna ji, I would like to congra tulate you for the stupendous success. And for the first time, we cost 5

,000 crores. That has been a big achievement for the company. And the consistency is also really appreciable. And as you mentioned, we are really surprised to understand that we have been supplying to Ukraine, Israel and all those geographies, how many countries do we supply? Any rough idea? Our exports ar e happening to total number of countries, any idea?

R.V. Bubna: About 70 to 75 countries around the globe.

Sameer Deshpande: Really good. And the niche we have developed with new product registrations, etc., which last year also we have, I think, secured some 40-50 registrations fr om 2,950 to 3,000 plus. And as you mentioned, the pace is unpredictable. But it is good that s lowly, if we are in a position to grab more, it is going to benefit us more because of the limite d competition, which our registered product face in the countries. And it is nice to hear the Middl e East crisis is not affecting our exports, because we were hearing that maybe the Strait of Hormu z is likely to affect our export to Europe. But I think you mentioned that it is not at all affe cting us. And our freight costs are also in the similar range, so not affecting our gross margins. So, our gross margin guidance is around 35% next year.

R.V. Bubna: Yes, sir.

Sameer Deshpande: And congratulations. A nd we will be happy to see the company gr owing at this brisk pace.

R.V. Bubna: Thank you, sir. We need your good wishes and motivation.

Sameer Deshpande: Surely.

Moderator: Thank you.

Sameer Dshpande: Thank you.
Moderator: Thank you. The next question is from the line of Madhur Rathi f rom Counter Cyclical Investments. Please go ahead.
Madhur Rathi: Sir, thank you for the opportunity. If I look at our registrati on pipeline, as well as the products that are registered, as well as the amount of intensity for inc remental registration that we receive yoy, as well as the registrations that are very stagnant for th e past 3-4 years. So how should we look at our business going forward? Because we see that the app roval by authorities has stretched. So how should we look at our competition going forwa rd?
R.V. Bubna: Sir, there was an echoing in your voice....
Madhur Rathi: I will repeat my question. I was trying to understand, the regi stration that we have yoy, incremental, whatever. So, they were like 2,700 during FY22. Ri ght now, they are 3,000. So, there has not been a lot of jumps over these 5 years. At the sa me time, our pipeline has been closer to 1,000 or 1,100 registration that we are planning to a dd. So, the incremental addition has got very slowed down versus what it was earlier. So how sho uld we look at our business going forward? Because on one side, we mentioned that because o f authorities stretching the registration timeline, competition is limited, but also our own registration pipeline is getting impacted. So how do we look at our business going forward from this perspective?
R.V. Bubna: Mr. Madhur, it's just like when you have your meals or food. So metimes you are able to get some sweets, sometimes you get a special dish, sometimes a thir d special dish. So, all those foods are capable of filling your stomach and satisfying your h unger. So, these products that are new products are coming, they are more sophisticated, more safe r to use and more effective. But if they don't come, that does not mean the agriculture stops Ag riculture still continues with the older products. So, this has nothing to do with the growth of o ur business. You understand? There were some products which were being used, I know, for the last 20 years or 25 years for all of a sudden banned. They say they are carcinogenic. But the y are still being used for a lot of times, a lot of period in the history.
Madhur Rathi: Yes, I was trying to understand that going forward, should we l ook at our realizations improving because of limited competition due

to the lower approvals by th ese authorities or should I look at that whatever new registration will come, their value as wel l as volume growth will be much higher for us going forward. So how should I look at our busine ss? I was trying to understand on that front.
R.V. Bubna: Mr. Madhur Rathi, we are having not more than 5% of the market share globally. You understand? So, we have a lot of scope to improve. Market share , if it goes from 5% to 6%, it's almost 20% increase in Sharda Cropchem's business. And these ar e not dependent upon a particular product or particular registration. It is mainly dep endent on our contacts, market share,

and the confidence that the customers are having in Sharda Crop chem's ability to supply the promised product in promised time and at promised value. The ne w registration i s not dictating the growth in the volume of the business. Is it clear?
Madhur Rathi: Yes, sir. That was from me. Thank you so much.
R.V. Bubna: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor over to the management for closing remarks.
R.V. Bubna: I would like to thank everyone who have joined us and for havin g spared their time to take part into this conference call. I hope we have been able to answer a ll your queries. We look forward to such interactions i n the future. We hope to meet your expect ations in the future also. In case you require any further details, you may contact us or our stra tegic growth advisors. This is SGA; our investment relations partners. Thank you very much. Ha ve a nice day.
Moderator: Thank you very much, sir. On behalf of Antique Stock Broking Li mited, that co ncludes this conference call. Thank you all for joining us and you may now d isconnect your lines. Thank you.